

Risk Details

Attaching to
Lineslip Reference:

B0621TMMML000125

Type:

All Risks of Direct or Physical Loss or Physical Damage and Time Element Insurance but excluding Terrorism

Insured:

XXXX and as more fully defined in the Policy Wording.

Insured Mailing
Address:

XXXX, United States of America.

Period of Insurance:

From:

To:

Both dates at 12.01 a.m. Local Standard Time at the Insured's Address stated above.

Plus an additional 6 months, if required, at no more than pro rata additional premium, to be agreed Slip Leader only.

Interest:

Property Insured against certain risks of direct physical loss or direct physical damage occurring during the Period of Insurance including coverage against certain Time Element losses sustained by the Insured.

Limit of Liability:

USD per occurrence.

Subject to **Program Sub-limit, Waiting Periods** and **Time Limits** as scheduled herein.

Deductible(s):

USD per occurrence except;

X% of Total Insured Values, per building subject to a minimum of USD xxxxxx per occurrence in respect of Wind and Hail

Territory:

This Policy covers losses occurring anywhere within the 50 states comprising the United States of America and the District of Columbia.

Conditions:

As per the attached **Ark PDTE 02 26 Wording**, plus the following:

- Named Storm Extension Endorsement, as attached
- Earth Movement, Flood and Named Storm Extension Endorsement, as attached
- Machinery Breakdown Extension Endorsement, as attached
- LMA5390 U.S. Terrorism Risk Insurance Act of 2002 as amended Not Purchased Clause, as attached.
- LMA 5583B Territorial Exclusion: Russia, Ukraine and Belarus, as attached.

It is agreed to include automatically under this Insurance the interest of additional Named Insureds and Mortgagees and Loss Payees where applicable without advice.

Subject to no claims being made or outstanding during the period of insurance, the (re)insured shall be entitled to a return of 2.50% of the net premium paid hereunder at expiry. Should any claim be notified or paid under this contract, no such return shall be due. The return premium will be subject to renewal of the policy.

Notification of Claims to:

Client Name, Address

and;

James Side, Head of Property Claims

james.side@miller-insurance.com

Miller Insurance Services LLP, 70 Mark Lane, London, EC3R 7NQ.

Notices:

Delete as applicable (not extensive list so may need to add for other territories):

LMA9054 Massachusetts Surplus Lines Notice

LMA9098B California Surplus Lines Notice 1 (Post Bind), as attached.

LMA9099B California Surplus Disclosure Statement (Pre Bind), as attached.

LMA9030 California Surplus Lines Notice 2, as attached.

LMA9136B California Complaints Notice, as attached.

LMA9037 Florida Surplus Lines Notice (Guaranty Act).

LMA9038 Florida Surplus Lines Notice (Rates and Forms).

LMA9079 Texas Surplus Lines Notice.

LMA9080E Texas Complaint Notice.

LMA9144 North Carolina Disclosure Notice.

**Choice of Law
and Jurisdiction:**

This insurance shall be governed by and construed in accordance with the law of the State of Each party agrees to submit to the exclusive jurisdiction of any competent court within the United States of America and in accordance with the Service of Suit Clause NMA1998A as attached.

Change nominee to Foley & Lardner LLP, 555 California Street, Suite 1700, San Francisco, California 94104-1520 U.S.A. if CA risk. Mendes & Mount LLP, 750 Seventh Avenue, New York, NY 10019-6829, U.S.A if company market. (Include Axis)

Premium:

USD (100%) annual / pro rata for Period of Insurance.

Premium

Payment Terms:

PPC (5) 4/86 Time on Risk (amended) – 60 days, being XXXX as below

Agreement to extend due date can be obtained by email agreement of Slip Leader only.

PPC TOR (4/86)

It is a condition of this Contract of Insurance that the premium due at inception must be paid to and received by Insurers on or before Midnight on XXXX.

If this condition is not complied with then this Contract will terminate on the above date with the Insured hereby agreeing to pay a premium calculated at not less than pro rata temporis but full policy premium shall be payable to Insurers in the event of loss prior this Contract being cancelled.

Agreement to change the due date can be obtained by email Slip Leader only.

Notwithstanding anything contained herein to the contrary, underwriters note and agree that the premium payment condition is deemed satisfied upon receipt of complete funds by Miller prior to the settlement due date.

It is understood that Miller shall remit premium to underwriters via Xchanging within 7 days of the agreed Warranty date.

Market Reform Contract
Initials / Date

L/UWR

**Taxes Payable by
the Insured and
Administered by
Underwriters:**

None applicable.

**Notice of
Cancellation
Provisions:**

Where (re)insurers have the right to give notice of cancellation, in accordance with the provisions of the contract, then any (re)insurer may issue such notice in respect of its own participation.

The content and format of any such notice should be in accordance with the 'Notice of Cancellation' standard, as published by the London Market Group (LMG), or their successor body, on behalf of the London Market Associations and participants. However, failure to comply with this standard will not affect the validity of the notice given.

The notice shall be provided to the broker by the following means:

By an email to noc@miller-insurance.com.

Failure to comply with this delivery requirement will make the notice null and void. Satisfactory delivery of the notice will cause it to be effective irrespective of whether the broker has acknowledged receipt.

**Recording,
Transmitting and
Storing Information:**

Miller Insurance Services LLP, will maintain risk and claim data, information and documents which may be held on paper or electronically.

**Insurer Contract
Documentation:**

This contract is subject to US State surplus lines requirements. It is the responsibility of the surplus lines broker to affix a surplus lines notice to the contract documentation before it is provided to the Insured. In the event that the surplus lines notice is not affixed to the contract documentation, the Insured should contact the surplus lines broker.

This document details the contract terms entered into by the Insurer(s) and constitutes the contract document. The Insurer(s) authorise(s) Miller Insurance Services LLP, who have produced this contract documentation, to provide a copy thereof to the Insured as the Evidence of Cover.

No further Contract Document will be issued other than copies of endorsements detailing additions, deletions and amendments.

Property Damage and Time Element Insurance (excluding Flood and Earthquake)

INTRODUCTION

Subject to its terms, conditions and exclusions, this Policy covers the Property Insured against certain risks of direct physical loss or direct physical damage occurring during the Period of Insurance. It also provides coverage against certain Time Element losses sustained by the Insured.

The Insured is requested to read the Policy very carefully as it is important that they understand what is or is not covered and what obligations they have. If anything is not correct or not clear they should contact their insurance agent or broker immediately. If the Insured fails to comply with an obligation they have, this may affect the coverage under the Policy or any claim they make.

Certain words and phrases in the Policy have been given a specific meaning in PART B – GENERAL DEFINITIONS and will have that meaning wherever they appear in the Policy.

This insurance document is comprised of the following parts:

PART A – SCHEDULE

PART B – GENERAL DEFINITIONS

PART C – INSURING AGREEMENT

PART D – PROPERTY DAMAGE

PART E – TIME ELEMENT LOSSES

PART F – CLAIMS CONDITIONS

PART G – GENERAL CONDITIONS

PART H – TERRORISM OR SABOTAGE EXTENSION

APPENDIX (1) – LIST OF TIER 1 AND TIER 2 COUNTIES

APPENDIX (2) - LIST OF EXCLUDED TERRORISM ZIP CODES

PART A - SCHEDULE

Policy Number: As stated in the Risk Details section of the MRC.

Unique Market Reference Number: As stated in the Risk Details section of the MRC.

The Insured: As stated in the Risk Details section of the MRC.

Insured's Address: As stated in the Risk Details section of the MRC.

Period of Insurance:

From: As stated in the Risk Details section of the MRC.

To: As stated in the Risk Details section of the MRC.

Both dates at 12.01 a.m. Local Standard Time at the Insured's Address stated above.

Territory:

This Policy covers losses occurring anywhere within the 50 states comprising the United States of America and the District of Columbia.

Policy Limit of Liability:

The Insurers' maximum limit of liability under this Policy in an Occurrence, including any insured Time Element loss, shall not exceed the total Sum Insured stated in the Risk Details section of the MRC and shall be subject to the Limit of Insurers' Liability provisions stated within PART C - INSURING AGREEMENT.

Program Sub-limits:

The Policy provides for the following Program Sub-Limits of Liability within the Policy Limit of Liability:

Accounts Receivable:	USD 500,000
Automatic Coverage:	USD 2,500,000
Brands and Labels:	USD 100,000
Buildings and additions under incidental course of construction:	USD 250,000
Civil or Military Authority:	USD 1,000,000
	However, not to exceed the number of days stated in Time Limits below
Commissions, Profits and Royalties:	USD 250,000

Data Processing Media reproduction cost:	USD 100,000
Debris Removal:	USD 5,000,000
Decontamination Costs:	USD 250,000
Deferred Payments:	USD 50,000
Deliberate Act:	USD 100,000
Demolition and Increased Cost of Construction:	
Coverage A:	An amount equal to 100% of the declared insured value of the affected building or structure, less the damage threshold specified by the local law or ordinance (or 50% if no threshold is specified)
Coverage B and Coverage C combined:	USD 2,500,000
Errors and Omissions:	USD 250,000
Expediting Costs (Property Damage) and Extra Expense (Time Element) combined:	USD 500,000
Fine Art:	USD 50,000
Ingress/Egress:	USD 1,000,000
	However, not to exceed the number of days stated in Time Limits below
Land and Water Contaminant or Pollutant Cleanup, Removal and Disposal:	USD 250,000 in the aggregate during the Period of Insurance
Leasehold Interest:	USD 250,000
Miscellaneous Unnamed Locations:	USD 500,000
Professional Fees (Claims Preparation Costs):	USD 100,000
Loss Adjustment Expense:	USD 250,000
Protection and Preservation of Property:	USD 250,000
Radioactive contamination (sudden and accidental):	USD 50,000
Rental Insurance:	USD 250,000
Service Interruption Property Damage and Service Interruption Time Element combined:	USD 250,000
Sewer Back-up:	USD 100,000
Temporary Removal of Property:	USD 100,000
Terrorism or Sabotage Extension (PART H), Property Damage and Time Element combined:	No Cover Provided
Transportation:	USD 50,000

Valuable Papers and Records:

USD 100,000

Windstorm:

Full Policy Limit applies

The Sub-Limits of Liability apply per Occurrence, unless stated to the contrary above.

Deductible(s): As stated in the Risk Details section of the MRC.

Waiting Periods: 24 hours for Service Interruption Time Element
24 hours for Civil or Military Authority
24 hours for Ingress/Egress

Time Limits: The following additional Time Limits apply:

Automatic Coverage	90 days
Ingress/Egress	45 days
Civil or Military Authority	45 days
Extended Period of Liability	90 days, except up to 180 days when the Insurers agree a longer period is needed to comply with the explicit requirements of any Lender.

Choice of Law: As stated in the Risk Details section of the MRC.

Jurisdiction: As stated in the Risk Details section of the MRC.

Insurers: As stated in the Security Details section of the MRC.

Service of Suit Nominee: Lloyd's America, Inc.
Attention: Legal Department
280 Park Avenue, East Tower, 25th Floor, New York, NY 10017

Endorsements:

Premium and Payment Terms: As stated in the Risk Details section of the MRC.

PART B – GENERAL DEFINITIONS

The words and phrases defined below will have that meaning wherever they appear in the Policy.

1. Act of Terrorism

An act, including but not limited to the use of force or violence and/or the threat thereof, of any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organization(s) or government(s), committed for political, religious, ideological or similar purposes including the intention to influence any government and/or to put the public, or any section of the public, in fear.

2. Actual Cash Value

The amount it would cost to repair or replace Property Insured, on the date of loss, with material of like kind and quality, with proper deduction for obsolescence and physical depreciation but in no event more than the fair market value.

3. Communicable Disease

Any disease which can be transmitted by means of any substance or agent from any organism to another organism where:

- A. the substance or agent includes, but is not limited to, a virus, bacterium, parasite or other organism or any variation thereof, whether deemed living or not, and
- B. the method of transmission, whether direct or indirect, includes but is not limited to, airborne transmission, bodily fluid transmission, transmission from or to any surface or object, solid, liquid or gas or between organisms, and
- C. the disease, substance or agent can cause or threaten damage to human health or human welfare or can cause or threaten damage to, deterioration of, loss of value of, marketability of or loss of use of Property Insured under this Policy.

4. Computer System

Any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any associated input, output, Data storage device, networking equipment or back-up facility, owned or operated by the Insured or any other party.

5. Contamination

Any condition of property due to the actual or suspected presence of any foreign substance, impurity, pollutant, hazardous material, poison, or toxin.

Contaminant shall mean anything that causes Contamination.

Contamination does not include asbestos, mold, mildew, fungus or spores.

6. **Cyber Act**

An unauthorized, malicious or criminal act or series of related unauthorized, malicious or criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any Computer System.

7. **Cyber Incident**

- A. Any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any Computer System; or
- B. any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any Computer System.

8. **Data**

Information, facts, concepts, code or any other information of any kind that is recorded or transmitted in a form to be used, accessed, processed, transmitted or stored by a Computer System.

9. **Data Processing Media**

Any Property Insured on which Data can be stored but not the Data itself.

10. **Deliberate Act**

An act committed by any person or group of persons in a way that is intended to cause loss of or damage to the Insured's property including but not limited to vandalism, malicious damage, arson, looting, burglary, theft or the taking of personal property by force.

A Deliberate Act does not include an Act of Terrorism.

11. **Earth Movement**

Any natural or man-made earth movement including, but not limited to, earthquake (meaning a shaking or trembling of the earth that is tectonic in origin), seaquake, volcanic eruption, landslide or subsidence and any ensuing tsunami, regardless of any other cause or event contributing concurrently or in any other sequence of loss.

12. **Fine Art**

Paintings; etchings; pictures; tapestries; rare or art glass; art glass windows; valuable rugs; statuary; sculptures; antique furniture; antique jewelry; bric-a-brac; porcelains; and similar property of rarity, historical value, or artistic merit.

Fine Art does not include automobiles, coins, stamps, furs, jewelry, precious stones, precious metals, watercraft or aircraft.

13. **Flood**

- A. Unusual and rapid accumulation or runoff of surface waters from any source; rising waters; or
- B. waves; tide or tidal water; or
- C. the release of water; or
- D. the rising, overflowing or breaking of boundaries of natural or man-made bodies of water; or the spray therefrom; or
- E. surface waters or sewer back-up resulting from any of the foregoing,

regardless of any other cause or event contributing concurrently or in any other sequence of loss.

Flood does not include storm surge (being water driven inland from coastal waters by high wind, low atmospheric pressure, or both).

14. **Insured**

The entity or entities stated as the Insured in PART A - SCHEDULE.

15. **Insured Location**

A location:

- A. listed on a schedule on file with the Insurers; or
- B. covered as a Miscellaneous Unnamed Location; or
- C. covered under the terms and conditions of the Automatic Coverage or Errors and Omissions provisions.

16. **Insurers**

The insurers stated in PART A - SCHEDULE.

17. **Land Improvements**

Landscape gardening, lawns, plants, trees and shrubs, roadways and pavements.

18. **Location**

A location:

- A. specified in the schedule of locations on file with the Insurers, except for Miscellaneous Unnamed Locations; or
- B. if not so specified or if a Miscellaneous Unnamed Location, a building, yard, dock, wharf, pier or bulkhead (or any group of the foregoing) bounded on all sides by public streets, clear land space or open waterways, each not less than 50 feet wide. For the purpose of this provision any bridge or tunnel crossing such street, space or waterway will render such separation inoperative.

19. **Named Storm**

A Windstorm that has been identified and named at any time by the National Oceanic and Atmospheric Administration's National Hurricane Center or any similar internationally recognized weather organization.

20. **Occurrence**

The sum of all individual losses or series of individual losses resulting from or arising out of and directly occasioned by any one insured event regardless of the number of Insured Locations affected.

When the term Occurrence so defined applies to a loss or series of losses from any of the following causes, one Occurrence shall be construed to be all losses arising during a period of:

- A. 72 consecutive hours as regards a Windstorm, Named Storm, rainstorm, and/or hailstorm;
- B. 72 consecutive hours as regards any Occurrence which includes individual loss or losses from any of the causes mentioned in A. above;

and no individual loss from whatever insured cause, which occurs outside these periods or areas, shall be included in that Occurrence.

The Insured may choose the date and time when any such period of consecutive hours commences and if any insured event is of greater duration than the above period, the Insured may divide that event into two or more Occurrences provided no two periods overlap and provided no period commences earlier than the date and time of the happening of the first recorded individual loss to the Insured in that insured event during the Period of Insurance.

21. **Period of Insurance**

The period for which this Policy is in force, as stated in PART A – SCHEDULE.

22. **Policy**

The contract of insurance between the Insurers and the Insured, including PARTS A to H inclusive of this document, Appendix (1) and (2) as applicable and any other document, jacket, endorsement, clause or other attachment issued to form a part of it or of which this document forms a part, which shall be read together as one contract.

23. **Property Insured**

The following property, unless otherwise excluded elsewhere in this Policy, to the extent of the interest of the Insured in such property:

- A. Real Property, including buildings and additions under incidental course of construction at an Insured Location, in which the Insured has an insurable interest.
- B. Personal Property:
 - i. owned by the Insured, including the Insured's interest as a tenant in improvements and betterments. In the event of insured direct physical loss or damage, the Insurers agree to accept and consider the Insured as sole and unconditional owner of improvements and betterments, notwithstanding any contract or lease to the contrary.
 - ii. of officers and employees of the Insured.
 - iii. of others in the Insured's custody to the extent the Insured is under obligation to keep insured for direct physical loss or damage insured by this Policy.
 - iv. of others in the Insured's custody to the extent of the Insured's legal liability for insured direct physical loss or damage to Personal Property.

24. Tier 1 and Tier 2 Counties

The parishes, cities, counties and areas stated in Appendix (1) to this Policy.

25. Valuable Papers and Records

Written, printed or otherwise inscribed documents and records, including books, maps, films, drawings, abstracts, deeds, mortgages and manuscripts, all of which must be of value to the Insured.

26. Windstorm

The force or direct action of wind, including but not limited to any material, object or debris that is carried, propelled or in any manner moved by wind, and the term Windstorm shall include:

- A. a tornado;
- B. hail that is as a result of the actions or effects of a Windstorm;
- C. rain or water that enters into the Property Insured through an opening created by the force or direct action of the wind;
- D. storm surge (being water driven inland from coastal waters by high wind, low atmospheric pressure, or both).

PART C - INSURING AGREEMENT

1. INSURING CLAUSE

In consideration of the payment of premium as specified in PART A - SCHEDULE, and subject to the terms, conditions and exclusions of this Policy, the Insurers agree to cover the Property Insured by this Policy against risks of direct physical loss or direct physical damage (elsewhere referred to in this Policy as "direct physical loss or damage") occurring during the Period of Insurance at an Insured Location unless otherwise provided.

The Insurers are not liable under this Policy for any loss or damage:

- A. occurring before this Policy becomes effective; or
- B. arising from an Occurrence which is in progress at the time this Policy becomes effective, even if such loss or damage occurs after this Policy becomes effective; or
- C. occurring after the expiration of this Policy, except loss or damage arising from an Occurrence in progress at the time this Policy expires.

2. TERRITORY

This Policy covers the Insured Locations situated within the Territory specified in PART A - SCHEDULE.

3. LIMIT OF INSURERS' LIABILITY

The premium for this Policy is based upon the latest Statement of Values on file with the Insurers.

In the event of any covered loss under this Policy, the liability of the Insurers shall be limited to the least of the following in any one covered Occurrence:

- a. The actual adjusted amount of the loss, less applicable deductible(s) and any primary and underlying excess limits; or
- b. 110% of the individually stated value for each scheduled item of coverage insured at the Location which sustained the loss and shown on the latest Statement of Values on file with the Insurers, less applicable deductible(s) and any primary and underlying excess limits; or
- c. The **Policy Limit of Liability** or applicable Sub-Limit(s) of Liability as specified in PART A - SCHEDULE or as endorsed to this Policy, less applicable deductible(s) and any primary and underlying excess limits.

Where the covered Occurrence involves more than one Insured Location or scheduled item of coverage, the liability of the Insurers for each individually scheduled item of coverage on the latest Statement of Values on file with the Insurers shall be measured separately and on a per scheduled item basis. Nothing herein requires the Insurers to utilize the same liability limitation measure, as stated in paragraphs a. to c. above, for all insured scheduled items or Insured Locations involved in any one covered Occurrence. The liability limitation measure, as stated in paragraphs a. to c. above, to be used by the Insurers shall be the measure providing the least amount of coverage for each scheduled item individually. The Insurers may have no liability after applying the above liability limitation measures, applicable deductible(s) and primary and underlying excess limits.

Coverage under this Policy is provided only at the Locations shown on the latest Statement of Values on file with the Insurers or as endorsed on to this Policy. If:

- (i) no separate value is shown on such Statement of Values for any Location or part of a Location or for a scheduled item of coverage, or
- (ii) on such Statement of Values, the value for any Location or part of a Location or for a scheduled item of coverage is left blank, or the word "included" or the term "ALS" (actual loss sustained) is used,

then there is no coverage for that Location, part or item.

Nothing within this clause shall negate or void any coverage as may otherwise exist under the Policy's Errors or Omissions or Miscellaneous Unnamed Location provisions. However, when a Sub-Limit of Liability for Errors or Omissions or Miscellaneous Unnamed Locations is shown in PART A - SCHEDULE, then the liability limitation measure to be used by the Insurers shall be the least of paragraph a. or c. above.

To the extent that this Policy extends coverage for property of the type insured which is rented, leased or purchased by the Insured after the inception date of this Policy, then the liability limitation measure to be used by the Insurers during the period of time in which such property is reported to and agreed upon by the Insurers shall be the least of paragraph a. or c. above.

The Insurers' maximum liability in a single Occurrence regardless of the number of Locations or coverages involved will not exceed the **Policy Limit of Liability** as specified in PART A - SCHEDULE. However, when a Sub-Limit of Liability for a Location or other specified property or coverage is shown, such Sub-Limit will be the maximum amount payable for any loss or damage arising from direct physical loss or damage at such Location or involving such other specified property or such coverage.

Each Sub-Limit of Liability specified in PART A - SCHEDULE or endorsed to this Policy:

- i. applies as part of, and not in addition to the overall **Policy Limit of Liability** for an Occurrence insured under this Policy. Each Sub-Limit is the maximum amount potentially recoverable from all insurance layers and Program policies combined for all insured loss, damage, expense, Time Element or other insured interest arising from or relating to that aspect of the Occurrence, including but not limited to type of property, construction, geographic area, zone, location, or peril.

- ii. if insured under this Policy or any endorsement attaching to it, any sublimit for earthquake, Earth Movement, Flood, Windstorm, Named Storm, or named windstorm is the maximum amount potentially recoverable from all insurance layers and Program policies combined for all insured loss, damage, expense, Time Element or other insured interest arising from or relating to such an Occurrence. If Flood occurs in conjunction with a Windstorm, Named Storm, named windstorm, earthquake or Earth Movement, the Flood sublimit applies within and erodes the sublimit for that Windstorm, Named Storm, named windstorm, earthquake or Earth Movement.
- iii. applies in the aggregate on a per Occurrence basis, unless otherwise specified, for all Locations and coverages combined.

4. REDUCTION BY LOSS

Claims paid under this Policy will not reduce its limit of liability, except claims paid will reduce any aggregate limit during any Period of Insurance.

5. DEDUCTIBLES

In each case of loss covered by this Policy, the Insurers will be liable only if the Insured sustains a loss, including any insured Time Element loss, in a single Occurrence greater than the applicable deductible specified in PART A - SCHEDULE, and only for their share of that greater amount.

Unless otherwise stated below:

- A. When this Policy insures more than one Location, the deductible will apply against the total loss covered by this Policy in an Occurrence except that a deductible that applies on a per Location basis, if specified, will apply separately to each Location where the direct physical loss or damage happened regardless of the number of Locations involved in the Occurrence.
- B. Unless stated otherwise, if two or more deductibles apply to an Occurrence, the total to be deducted will not exceed the largest deductible applicable.

For the purpose of this provision, when a separate Property Damage and a separate Time Element deductible apply, the sum of the two deductibles will be considered a single deductible. If two or more deductibles apply on a per Location basis in an Occurrence, the largest deductible applying to each Location will be applied separately to each such Location.

- C. When a percentage (%) deductible is stated in PART A - SCHEDULE, whether separately or combined, the deductible is calculated as follows:

Property Damage - % of the value, in accordance with the Valuation clause in PART F- CLAIMS CONDITIONS, of the Property Insured at the Insured Location where the physical damage happened.

Time Element - % of the full Time Element values that would have been earned in the 12 month period following the Occurrence by use of the facilities at the Location where the physical damage happened, plus that proportion of the full Time Element values at all other Locations where Time Element loss ensues that was directly affected by use of such facilities and that would have been earned in the 12 month period following the Occurrence. Any Time Element extension provided herein is subject to the deductible provisions that would have applied had the direct physical loss or damage to Property Insured occurred.

PART D - PROPERTY DAMAGE

1. PROPERTY INSURED

This Policy insures Property Insured located at an Insured Location.

This Policy also insures the interest of contractors and subcontractors in Property Insured during construction at an Insured Location, to the extent of the Insured's legal liability for insured direct physical loss or damage to such property. Such interest of contractors and subcontractors is limited to the property upon which they have been hired to perform work and such interest will not extend to any Time Element coverage provided under this Policy.

2. PROPERTY EXCLUDED

This Policy does not cover and expressly excludes:

- A. currency (including but not limited to digital and cryptocurrency), money, precious metal in bullion form, notes, or securities.
- B. land, land values and Land Improvements, water or any other substance in or on land; except this exclusion does not apply to water that is contained within any enclosed tank, piping system or any other processing equipment.
- C. animals, standing timber, growing crops.
- D. watercraft, aircraft, drones, spacecraft, and satellites.
- E. vehicles of officers and employees of the Insured or vehicles licensed for use on public roads, except vehicles the Insured owns that are operated solely at an Insured Location.
- F. underground mines or mine shafts or any property within any such mine or shaft.
- G. dams, dykes, levees, piers, docks, wharfs, bulkheads, bridges and tunnels.
- H. property in transit, except as otherwise provided by this Policy.
- I. property sold by the Insured under conditional sale, trust agreement, installment plan or other deferred payment plan after delivery to customers, except as provided by the Deferred Payments coverage of this Policy.
- J. transmission and distribution lines beyond the Insured Location.
- K. personal property in the care, custody or control of the Insured when the Insured is acting as a bailee, warehouseman or a carrier for hire.
- L. contraband property, including property in the course of illegal trade or transit.
- M. Data, including any amount pertaining to the value of such Data.

3. VACANCY WARRANTY

The Insured warrants that they will notify the Insurers within 14 days of any building or premises insured under this Policy becoming vacant (having less than 25% occupancy by square footage) or unoccupied. The Insurers reserve the right to amend the terms and conditions, charge additional premium or remove coverage for vacant or unoccupied locations at their sole discretion.

It is agreed that should coverage for a vacant or unoccupied building or premises be agreed by the Insurers, the Insured further warrants that:

- A. all doors and windows shall be securely locked; and
- B. all refuse, waste and debris shall be removed from within and about said building or premises;
- C. the protections provided for the safety of the insured property shall be maintained in good order under a maintenance contract throughout the currency of this Policy and shall be in use at all times when the building or premises is left unattended, and that such protection shall not be withdrawn or varied to the detriment of the Insurers without their consent, as within the control of the Insured;
- D. all utilities shall be disconnected and drained unless required by the protections at the building or premises to maintain the safety of the insured property, in which case all utilities and heat to prevent freezing within the building or premises shall be maintained; and
- E. all vacant or unoccupied buildings and premises, and all individual units within them, must be thoroughly checked a minimum of every 72 hours, with an auditable record maintained of each visit.

Failure to comply with this warranty shall render all insurance under this Policy at the vacant or unoccupied location null and void.

4. ADDITIONAL PROPERTY DAMAGE COVERAGES

Where stated in PART A - SCHEDULE, this Policy includes the following Additional Coverages for direct physical loss or damage insured by this Policy. Where the words "not covered" are inserted in the Schedule (or where the limit is left blank), no coverage is granted in this Policy.

These Additional Coverages:

- i. are subject to the applicable Sub-Limit of Liability shown in PART A - SCHEDULE;
- ii. will not increase the **Policy Limit of Liability**; and
- iii. are subject to the Policy provisions, including applicable exclusions and deductibles,

all as shown in this PART D and elsewhere in this Policy.

A. Accounts Receivable

- (1) This Policy covers any shortage in the collection of accounts receivable, resulting from insured direct physical loss or damage to accounts receivable records while anywhere within the Territory stated in PART A - SCHEDULE, including while in transit within such Territory. The Insurers will be liable for the interest charges on any loan to offset impaired collections pending repayment of such sum uncollectible as the result of such loss or damage. Unearned interest and service charges on deferred payment accounts and normal credit losses on bad debts will be deducted in determining the recovery.
- (2) In the event of loss to accounts receivable records, the Insured will use all reasonable efforts, including legal action, if necessary, to effect collection of outstanding accounts receivable.
- (3) The Insured agrees to use any suitable property or service:
 - (a) owned or controlled by the Insured; or
 - (b) obtainable from other sources,in reducing the loss under this Additional Coverage.
- (4) This Policy covers any other necessary and reasonable costs incurred to reduce the loss under this Additional Coverage, to the extent the losses are reduced.
- (5) If it is possible to reconstruct accounts receivable records so that no shortage is sustained, the Insurers will only be liable for the reasonable and necessary cost incurred for material and time required to re-establish or reconstruct such records, and not for any costs covered by any other insurance.
- (6) Accounts Receivable Exclusions - the following exclusions are in addition to clause 5, EXCLUSIONS, of this PART D:

This Additional Coverage does not insure against shortage resulting from:

- (a) bookkeeping, accounting or billing errors or omissions; or
- (b)
 - (i) alteration, falsification, manipulation; or
 - (ii) concealment, destruction or disposal,

of accounts receivable records committed to conceal the wrongful giving, taking, obtaining or withholding of money, securities or other property; but only to the extent of such wrongful giving, taking, obtaining or withholding.

- (7) The settlement of loss will be made within 90 days from the date of direct physical loss or damage. All amounts recovered by the Insured on outstanding accounts receivable on the date of loss will belong and be paid to the Insurers up to the amount of loss paid by the Insurers. All recoveries exceeding the amount paid will belong to the Insured.

B. Automatic Coverage

This Policy covers insured direct physical loss or damage to property of the type insured by this Policy at any location rented, leased or purchased by the Insured after the inception date of this Policy. This coverage applies from the date of rental, lease or purchase.

This Additional Coverage does not apply to property insured in whole or in part by any other insurance policy.

This coverage will apply until whichever of the following occurs first:

- (1) The location is agreed to be insured by the Insurers; or
- (2) Agreement is reached between the Insured and the Insurers that the location will not be insured under this Policy; or
- (3) The Time Limit specified in PART A - SCHEDULE has been reached. The Time Limit begins on the date of rental, lease or purchase.

C. Brands and Labels

If branded or labelled Property Insured suffers insured direct physical loss or damage and the Insurers elect to take all or any part of that property, the Insured may at the Insurers' expense:

- (1) stamp "salvage" on the property or its containers; or
- (2) remove or obliterate the brands or labels,

if doing so will not further physically damage the property. In either event, the Insured must re-label such property or its containers to be in compliance with any applicable law.

D. Consequential Reduction in Value

This Policy covers the reduction in value of insured merchandise that is a part of pairs, sets, or components, directly resulting from direct physical loss or damage insured by this Policy to other insured parts of pairs, sets or components of such merchandise. If settlement is based on a constructive total loss, the Insured will surrender the undamaged parts of such merchandise to the Insurers.

E. Control of Damaged Property

This Policy gives control of Property Insured that suffers insured direct physical loss or damage as follows:

- (1) The Insured will have full rights to the possession and control of damaged property in the event of insured physical damage to such property provided proper testing is done to show which property is physically damaged.
- (2) The Insured using reasonable judgment will decide if the physically damaged property can be reprocessed or sold.
- (3) Property so judged by the Insured to be unfit for reprocessing or selling will not be sold or disposed of except by the Insured, or with the Insured's consent.
- (4) Any salvage proceeds received will go to the:
 - (a) Insurers at the time of loss settlement; or
 - (b) Insured if received prior to loss settlement and such proceeds will reduce the amount of loss payable accordingly.

F. Debris Removal

This Policy covers the reasonable and necessary costs incurred to remove debris from an Insured Location that remains as a direct result of physical loss or damage insured by this Policy.

This Additional Coverage does not cover the costs of removal of:

- (1) contaminated uninsured property; or
- (2) the Contaminant in or on uninsured property,

whether or not the Contamination results from insured direct physical loss or damage. This Additional Coverage covers the costs of removal of contaminated Property Insured or the Contaminant in or on Property Insured only if the Contamination, due to the actual not suspected presence of Contaminant(s), of the debris resulted directly from other physical damage covered by the Policy.

G. Decontamination Costs

If Property Insured is contaminated as a direct result of direct physical loss or damage insured by this Policy and there is in force at the time of such direct physical loss or damage any law or ordinance regulating Contamination due to the actual not suspected presence of Contamination, then this Policy covers, as a direct result of enforcement of such law or ordinance, the increased cost of decontamination and/or removal of such contaminated Property Insured in a manner to satisfy such law or ordinance. This Additional Coverage applies only to that part of Property Insured so contaminated as a direct result of insured physical loss or damage.

The Insurers are not liable for the costs required for removing contaminated uninsured property nor the Contaminant therein or thereon, whether or not the Contamination results from an insured event.

H. Defense Costs

The Insurers will defend that portion of any suit against the Insured that alleges liability for insured direct physical loss or damage to Personal Property in the Insured's care, custody and control and seeks damages for such insured direct physical loss or damage. The Insurers may, without prejudice, investigate, negotiate and settle any claim or suit as the Insurers deem expedient.

I. Deferred Payments

This Policy covers insured direct physical loss or damage to Personal Property of the type insured by this Policy sold by the Insured under a conditional sale or trust agreement or any installment or deferred payment plan and after such property has been delivered to the buyer. Coverage is limited to the unpaid balance for such property.

In the event of such loss or damage to property sold under deferred payment plans, the Insured will use all reasonable efforts, including legal action, if necessary, to effect collection of outstanding amounts due or to regain possession of the property.

There is no liability under this Policy for loss:

- (1) pertaining to products recalled including, but not limited to, the costs to recall, test or to advertise such recall by the Insured.
- (2) from theft or conversion by the buyer of the property after the buyer has taken possession of such property.
- (3) to the extent the buyer continues payments.
- (4) not within the Territory stated in PART A - SCHEDULE.

J. Deliberate Acts

This Policy covers direct physical loss or damage caused by or resulting from a Deliberate Act.

K. Demolition and Increased Cost of Construction

- (1) This Policy covers the reasonable and necessary costs incurred, described in item (2) below, to satisfy the minimum requirements of the enforcement of any law or ordinance regulating the demolition, construction, repair, replacement or use of insured buildings or structures at an Insured Location, provided:
 - (a) such law or ordinance is in force on the date of insured direct physical loss or damage; and
 - (b) its enforcement is a direct result of such insured direct physical loss or damage.

- (2) This Additional Coverage, as respects the Property Insured in item (1) above, covers:
- (a) **Coverage A:** The value of the undamaged portion of the insured building or structure, when the law or ordinance requires the Insured to demolish or remodel such undamaged portion due to changes to the building code in force on the date of insured direct physical loss or damage.
 - (b) **Coverage B:**
 - (i) The cost to demolish the physically damaged portion of such Property Insured; and
 - (ii) the cost to demolish the physically undamaged portion of such Property Insured and to remove debris of such undamaged portion from an Insured Location,to the extent that such costs incurred result when the demolition is required to satisfy the law or ordinance.
 - (c) **Coverage C:** The increased cost to repair or rebuild the physically damaged building or structure with materials and in a manner to satisfy such law or ordinance. This coverage applies to both the damaged and undamaged portions of the building or structure.

Any increase in Time Element loss sustained as a result of the enforcement of any such law or ordinance will be taken into consideration under PART E of this Policy.

- (3) Demolition and Increased Cost of Construction Exclusions - as respects Demolition and Increased Cost of Construction, the following exclusions apply in addition to clause 5, EXCLUSIONS, of this PART D:

This Policy does not cover:

- (a) loss due to any law or ordinance with which the Insured was required to comply had the loss not occurred;
 - (b) any costs incurred as a direct or indirect result of enforcement of any laws or ordinances regulating any form of Contamination;
- (4) Subject to the applicable Sub-Limit of Liability shown in PART A – SCHEDULE, the Insurers' maximum liability for this Additional Coverage at each Insured Location in an Occurrence will not exceed:
- (a) under Coverage B, the actual cost incurred in demolishing the physically damaged and undamaged portion of the Property Insured in item (1); and
 - (b) under Coverage B, the lesser of:

- (i) the reasonable and necessary actual cost incurred, excluding the cost of land, in rebuilding on another site; or
- (ii) the cost of rebuilding on the same site.

L. Errors and Omissions

If direct physical loss or damage is not payable under this Policy solely due to an error or unintentional omission:

- (1) in the description of where Property Insured is physically located; or
- (2) to include any location:
 - (a) owned, rented or leased by the Insured on the effective date of this Policy; or
 - (b) purchased, rented or leased by the Insured during the term of this Policy; or
- (3) that results in cancellation of coverage on any of the Property Insured under this Policy,

this Policy covers such direct physical loss or damage, to the extent it would have provided coverage had such error or unintentional omission not been made.

With respect to (1) and (2), this Additional Coverage does not function to allow the Insured or its representative to correct or amend any value shown on the Statement of Values.

It is a condition precedent to operation of this Additional Coverage that upon discovery of any error or unintentional omission, such error or unintentional omission when discovered shall be reported to the Insurers and corrected as soon as practicable by the Insured.

M. Expediting Costs

This Policy covers the reasonable and necessary costs incurred to pay for the temporary repair of Property Insured which has sustained direct physical loss or damage by a peril covered by this Policy and to expedite the permanent repair or replacement of such damaged Property Insured.

This Additional Coverage does not cover costs:

- (1) recoverable elsewhere in this Policy; or
- (2) of permanent repair or replacement of Property Insured which has sustained such direct physical loss or damage.

N. Fine Art

This Policy covers insured direct physical loss or damage to Fine Art articles while anywhere within the Territory stated in PART A - SCHEDULE, including while in transit within such Territory.

Fine Art Exclusions - as respects Fine Art, the following exclusions apply in addition to clause 5, EXCLUSIONS, of this PART D:

This Policy does not cover:

- (1) loss or damage if the Fine Art cannot be replaced with other of like kind and quality, unless it is specifically declared to the Insurers;
- (2) loss or damage from any repairing, restoration or retouching process;
- (3) currency, money or securities.

O. Land and Water Contaminant or Pollutant Cleanup, Removal and Disposal

This Policy covers the reasonable and necessary cost for the cleanup, removal and disposal of Contaminants or pollutants from uninsured property consisting of land, water or any other substance in or on land at the Insured Location if the release, discharge or dispersal of Contaminants or pollutants is a direct result of insured direct physical loss or damage to Property Insured.

This Policy does not cover the cost to cleanup, remove and dispose of Contaminants or pollutants from such property:

- (1) at any Location insured for Personal Property only.
- (2) at any Location insured under the Automatic Coverage, Errors and Omissions or Miscellaneous Unnamed Locations coverages provided by this Policy.
- (3) when the Insured fails to give written notice of loss to the Insurers within 180 days after inception of the loss.

P. Miscellaneous Unnamed Locations

This Policy covers insured direct physical loss or damage to:

- (1) Property Insured;
- (2) property of the type insured that is under contract to be used in an incidental construction project at an Insured Location:
 - (a) from the time such property is delivered to the Insured or their contractor (with respect to the property under construction) by the manufacturer or supplier;
 - (b) while such property is located at a storage site; and

- (c) while such property is in transit from a storage site to another storage site or to a construction project at an Insured Location,

that does not include any such property owned or rented by the contractor;

while anywhere within the Territory stated in PART A - SCHEDULE, including while in transit within such Territory.

This Additional Coverage excludes property covered elsewhere in this Policy.

Miscellaneous Unnamed Locations Exclusions - as respects Miscellaneous Unnamed Locations, the following exclusions apply in addition to clause 5, EXCLUSIONS, of this PART D:

This Policy does not cover:

- (i) transmission and distribution systems.
- (ii) property insured under import or export ocean marine insurance.
- (iii) property shipped between continents.
- (iv) airborne shipments unless by regularly scheduled passenger airlines or air freight carriers.
- (v) property of others, including the Insured's legal liability for it, hauled on vehicles owned, leased or operated by the Insured when acting as a common or contract carrier.

Q. Professional Fees (Claims Preparation Costs)

This Policy covers the actual costs of reasonable fees incurred by the Insured payable to accountants, architects, auditors, engineers, or other professionals and the cost of using the Insured's employees, for producing and certifying any particulars or details contained in the Insured's books or documents, or such other proofs, information or evidence required by the Insurers resulting from insured loss payable under this Policy for which the Insurers have accepted liability.

Coverage will not include the fees and costs of attorneys, public adjusters, and loss appraisers, all including any of their subsidiary, related or associated entities either partially or wholly owned by them or retained by them for the purpose of assisting them nor the fees and costs of loss consultants who provide consultation on coverage or negotiate claims.

This Additional Coverage is subject to the deductible that applies to the loss.

R. Protection and Preservation of Property

This Policy covers:

- (1) reasonable and necessary costs incurred for actions to temporarily protect or preserve Property Insured; provided such actions are necessary due to actual, or to prevent immediately impending, insured direct physical loss or damage to such Property Insured.
- (2) reasonable and necessary:
 - (a) fire department firefighting charges imposed as a result of responding to a fire in, on, or exposing the Property Insured.
 - (b) costs incurred of restoring and recharging fire protection systems following an insured loss.
 - (c) costs incurred for the water used for fighting a fire in, on or exposing the Property Insured.

This Additional Coverage is subject to the deductible provisions that would have applied had the direct physical loss or damage occurred.

S. Service Interruption Property Damage

- (1) This Policy covers insured direct physical loss or damage to Property Insured at an Insured Location when such direct physical loss or damage results from the interruption of the specified incoming services consisting of electricity, gas, fuel, steam, water, refrigeration or from the lack of outgoing sewerage service by reason of direct physical loss or damage of the type insured by this Policy to property of the type insured by this Policy of the supplier of such service located—on or directly outside the said Insured Location, that immediately prevents in whole or in part the delivery of such usable service.
- (2) Additional General Provisions:
 - (a) The Insured will immediately notify the suppliers of services of any interruption of such services.
 - (b) The Insurers will not be liable if the interruption of such services is caused directly or indirectly by:
 - (i) the failure of the Insured to comply with the terms and conditions of any contracts the Insured has for the supply of such specified services;
 - (ii) loss or damage to overhead transmission lines located beyond the affected Insured Location;
 - (iii) intentional interruption by the Insured or any service provider.

T. Sewer Back-up

This Policy covers direct physical loss or damage caused by or resulting from a backing-up of sewers or drains.

This Additional Coverage does not apply where the backing-up is a result of a Flood.

U. Tax Treatment of Profits

This Policy is extended to cover the increased tax liability from an insured loss at an Insured Location if the tax treatment of:

- (1) the profit portion of a loss payment under this Policy involving finished stock manufactured by the Insured; and/or
- (2) the profit portion of a Time Element loss payment under this Policy;

is greater than the tax treatment of profits that would have been incurred had no insured loss occurred.

V. Temporary Removal of Property

- (1) When Property Insured is temporarily removed from an Insured Location for the purpose of being repaired or serviced or in order to avoid threatened direct physical loss or damage of the type insured by this Policy, this Policy covers such property:
 - (a) while at the location to which such property has been moved; and
 - (b) for direct physical loss or damage as provided at the Insured Location from which such property was removed.
- (2) This Additional Coverage does not apply to property:
 - (a) insured, in whole or in part, elsewhere in this Policy.
 - (b) insured, in whole or in part, by any other insurance policy.
 - (c) removed for normal storage, processing or preparation for sale or delivery.

W. Transportation

- (1) This Policy covers insured direct physical loss or damage to the following Personal Property, except as excluded by this Policy, while in transit within the Territory stated in PART A - SCHEDULE:
 - (a) owned by the Insured.
 - (b) shipped to customers under free on board, cost and freight or similar terms. The Insured's contingent interest in such shipments is admitted.

- (c) of others in the actual or constructive custody of the Insured to the extent of the Insured's interest or legal liability.
 - (d) of others sold by the Insured, that the Insured has agreed prior to the direct physical loss or damage to insure during the course of delivery.
- (2) The following exclusions are in addition to clause 5, EXCLUSIONS, of this PART D:

This Policy does not cover:

- (a) samples in the custody of salespeople or selling agents.
 - (b) property insured under import or export ocean marine insurance.
 - (c) waterborne shipments, unless:
 - (i) by inland water; or
 - (ii) by coastal shipments.
 - (d) airborne shipments unless by regularly scheduled passenger airlines or air freight carriers.
 - (e) property of others, including the Insured's legal liability for it, hauled on vehicles owned, leased or operated by the Insured when acting as a common or contract carrier.
 - (f) any transporting vehicle.
 - (g) property shipped between continents.
- (3) Coverage Attachment and Duration:
- (a) This Additional Coverage covers from the time the property leaves the original point of shipment for transit. It then covers continuously in the due course of transit within the continent in which the shipment commences until the property arrives at the destination within such continent.
 - (b) However, coverage on export shipments not insured under ocean cargo policies ends when the property is loaded on board overseas vessels or aircraft. Coverage on import shipments not insured under ocean cargo policies begins after discharge from overseas vessels or aircraft.
- (4) This Additional Coverage:
- (a) covers general average and salvage charges on shipments covered while waterborne.

- (b) insures direct physical loss or damage caused by or resulting from:
 - (i) unintentional acceptance of fraudulent bills of lading, shipping or messenger receipts.
 - (ii) improper parties having gained possession of property through fraud or deceit.
- (5) Additional General Provisions:
 - (a) This Additional Coverage will not inure directly or indirectly to the benefit of any carrier or bailee.
 - (b) The Insured has permission, without prejudicing this insurance, to accept:
 - (i) ordinary bills of lading used by carriers;
 - (ii) released bills of lading;
 - (iii) undervalued bills of lading; and
 - (iv) shipping or messenger receipts.
 - (c) The Insured may waive subrogation against railroads under side track agreements.

Except as otherwise stated, the Insured will not enter into any special agreement with carriers releasing them from their common law or statutory liability.

X. Valuable Papers and Records

This Policy covers insured direct physical loss or damage to Valuable Papers and Records while anywhere within the Territory stated in PART A - SCHEDULE, including while in transit within such Territory.

- (1) This Additional Coverage excludes loss or damage to:
 - (a) property described below, if such property cannot be replaced with other of like kind and quality, unless specifically declared to the Insurers.
 - (b) currency, money or securities.
 - (c) property held as samples or for sale or for delivery after sale.
- (2) Valuable Papers and Records Exclusions:

In addition to the exclusions in clause 5, EXCLUSIONS, of this PART D, as respects Valuable Papers and Records, this Policy does not insure errors or omissions in processing or copying; all unless direct physical loss or damage not excluded by this Policy results, in which event, only that resulting damage is insured.

Y. Windstorm

This Policy covers direct physical loss or damage caused by or resulting from Windstorm.

5. EXCLUSIONS

In addition to the exclusions elsewhere in this Policy, the following exclusions apply:

A. This Policy excludes:

- (1) indirect or remote loss or damage.
- (2) interruption of business, except to the extent provided by this Policy.
- (3) loss of market or loss of use.
- (4) loss or damage or deterioration arising from any delay.
- (5) mysterious disappearance, loss or shortage disclosed on taking inventory, or any unexplained loss.
- (6) loss from enforcement of any law or ordinance:
 - (a) regulating the construction, repair, replacement, use or removal, including debris removal, of any property; or
 - (b) requiring the demolition of any property, including the cost in removing its debris;except as provided by the Decontamination Costs and Demolition and Increased Cost of Construction coverages of this PART D of the Policy.
- (7) loss resulting from the voluntary parting with title or possession of property if induced by any fraudulent act or by false pretense.
- (8) loss, damage, cost or expense incurred by the Insured or by others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of the Insured's products in the stream of commerce or the products of the Insured's direct or indirect customers or suppliers if such product or any portion of it is withdrawn or recalled from the market or from use by any person or organization because of a known or suspected defect, deficiency, inadequacy, contamination or dangerous condition.

B. This Policy excludes loss, damage, cost or expense of whatsoever nature, directly or indirectly caused by, resulting from or in connection with any of the following regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss:

- (1) Earth Movement;
- (2) Flood.
- C. As respects any property located in or in transit within the Tier 1 and Tier 2 Counties, this Policy excludes loss, damage, cost or expense of whatsoever nature, directly or indirectly caused by, resulting from or in connection with a Named Storm, regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss.
- D. This Policy excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with the actual or threatened malicious use of pathogenic or poisonous biological or chemical materials regardless of any other cause or event contributing concurrently or in any other sequence thereto.
- E. This Policy excludes loss, damage, cost or expense of whatsoever nature, directly or indirectly caused by, resulting from or in connection with any of the following regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss:
 - (1) (a) any actual or threatened war, invasion, acts of foreign enemies, hostilities or warlike operations (whether war be declared or not), civil war, rebellion, revolution, insurrection, military action or usurpation of power; or
 - (b) any confiscation, expropriation, nationalization, deprivation, requisition, or detention, by or under the order of any government (whether civil, military or de facto) or public or local authority that deprives the Insured or a claimant of the use or value of its property; or
 - (c) any riot, strike, protest, lockout, civil commotion or civil disturbance; or
 - (d) any Deliberate Act during and/or following any riot, strike, protest, lockout, civil commotion or civil disturbance; or
 - (e) any Act of Terrorism; or
 - (f) any action taken in controlling, preventing, suppressing or in any way relating to any of the above (a) to (e).

If the Insurers allege that by reason of this exclusion, any loss, damage, cost or expense is not covered by this Policy, the burden of proving the contrary shall be on the Insured.

- (2) nuclear reaction or nuclear radiation or radioactive contamination. However:
 - (a) if physical damage by fire or sprinkler leakage results, then only that resulting damage is insured; but not including any loss or damage due to nuclear reaction, nuclear radiation or radioactive contamination.

- (b) subject to the applicable Sub-Limit of Liability shown in PART A – SCHEDULE, this Policy does insure physical damage directly caused by sudden and accidental radioactive contamination, including resultant radiation damage, from material used or stored or from processes conducted on the Insured Location, provided that on the date of loss, there is neither a nuclear reactor nor any new or used nuclear fuel on the Insured Location.
- (3) (a) discharge, explosion or use of any nuclear device, weapon or material employing or involving nuclear fission, fusion or radioactive force, whether in time of peace or war and regardless of who commits the act.
- (b) seizure or destruction under quarantine or custom regulation, or confiscation by order of any governmental or public authority.
- (c) risks of contraband, or illegal transportation or trade.
- (4) any dishonest act, including but not limited to theft, committed alone or in collusion with others, at any time:
 - (a) by an Insured or any proprietor, partner, director, trustee, officer, or employee of an Insured; or
 - (b) by any proprietor, partner, director, trustee, or officer of any business or entity (other than a common carrier) engaged by an Insured to do anything in connection with Property Insured under this Policy.

This Policy does insure acts of direct insured physical damage intentionally caused by an employee of an Insured or any individual specified in (b) above, and done without the knowledge of the Insured. In no event does this Policy cover loss by theft by any individual specified in (a) or (b) above.

- (5) lack of the following services:
 - (a) incoming electricity, fuel, water, gas, steam, refrigerant;
 - (b) outgoing sewerage;
 - (c) incoming or outgoing telecommunication, Data or video transmissions,

all when caused by an Occurrence away from the Insured Location, except as provided in Service Interruption in the Property Damage or Time Element PARTS of this Policy.

- (6) any Cyber Act or Cyber Incident, including but not limited to any action taken in controlling, preventing, suppressing or remediating any Cyber Act or Cyber Incident.

This Policy does insure direct physical loss or damage to Property Insured caused by any ensuing fire or explosion which directly results from a Cyber Incident, unless that Cyber Incident is caused by, contributed to by, resulting from, arising out of or in connection with a Cyber Act including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any Cyber Act.

- F. This Policy excludes the following, but, if physical damage not excluded by this Policy results, then only such resulting damage is insured:
- (1) faulty workmanship, material, construction or design from any cause.
 - (2) mechanical or electrical breakdown, failure or derangement;
 - (3) loss or damage to boilers, pipes, steam turbines, steam engines, pressure or vacuum vessels caused by explosion, implosion, rupture or bursting;
 - (4) loss or damage to stock or material attributable to manufacturing or processing operations while such stock or material is being processed, manufactured, tested, or otherwise worked on.
 - (5) deterioration, depletion, rust, corrosion or erosion, wear and tear, inherent vice or latent defect.
 - (6) settling, cracking, shrinking, bulging, or expansion of:
 - (a) foundations (including any pedestal, pad, platform or other property supporting machinery);
 - (b) floors;
 - (c) pavements;
 - (d) walls;
 - (e) ceilings;
 - (f) roofs.
 - (7) (a) changes of temperature damage (except to machinery or equipment); or
(b) changes in relative humidity damage,
all whether atmospheric or not.
 - (8) insect, animal or vermin damage.
 - (9) loss or damage to the interior portion of buildings under construction from rain, sleet or snow, whether or not driven by wind, when the installation of the roof, walls or windows of such buildings has not been completed.

- G. This Policy does not insure any loss, damage, claim, cost, expense or other sum, directly or indirectly arising out of, attributable to, or occurring concurrently or in any sequence with a Communicable Disease or the fear or threat (whether actual or perceived) of a Communicable Disease.

For the purposes of this exclusion, the phrase "loss, damage, claim, cost, expense or other sum" includes, but is not limited to, any cost to clean-up, detoxify, remove, monitor or test:

- (1) for a Communicable Disease, or
 - (2) any Property Insured under this Policy that is affected by such Communicable Disease.
- H. This Policy excludes the following unless directly resulting from other direct physical loss or damage not excluded by this Policy:
- (1) Contamination and any cost due to Contamination including the inability to use or occupy property or any cost of making property safe or suitable for use or occupancy. If Contamination due only to the actual not suspected presence of any Contaminant(s) directly results from other physical damage not excluded by this Policy, then only physical damage caused by such Contamination may be insured. This exclusion H.(1) does not apply to radioactive contamination which is excluded elsewhere in this Policy.
 - (2) shrinkage.
 - (3) changes in color, flavor, texture or finish.
- I. This Policy excludes any loss, damage, claim, cost, expense or other sum directly or indirectly arising out of or relating to:

mold, mildew, fungus, spores or other microorganisms of any type, nature, or description, including but not limited to any substance whose presence poses an actual or potential threat to human health.

This Exclusion applies regardless of whether there is:

- (1) any direct physical loss or damage to Property Insured;
 - (2) any insured peril or cause, whether or not contributing concurrently or in any sequence;
 - (3) any loss of use, occupancy, or functionality; or
 - (4) any action required, including but not limited to repair, replacement, removal, cleanup, abatement, disposal, relocation, or steps taken to address medical or legal concerns.
- J. This Policy excludes any loss, damage, cost or expense of whatsoever nature, directly or indirectly caused by, resulting from or in connection with:

- (1) the actual or suspected presence of asbestos in any form whatsoever, or any material or product containing, or suspected to contain, asbestos; or
- (2) any obligation, request, demand, order or statutory or regulatory requirement that the Insured or others test for, monitor, clean up, remove, contain, treat, neutralize, protect against or in any other way respond to the actual or suspected presence of asbestos or any material or product containing, or suspected to contain, asbestos,

regardless of any other cause or event, whether or not insured under this Policy, contributing concurrently or in any other sequence to the loss.

PART E - TIME ELEMENT LOSSES

1. LOSS INSURED

- A. This Policy insures Time Element loss, as provided in the Time Element Coverages, directly resulting from direct physical loss or damage insured by this Policy occurring during the Period of Insurance to Property Insured by this Policy during the Period of Liability described in this PART E.
- B. This Policy insures Time Element loss only to the extent it cannot be reduced through:
 - (1) the use of any property or service owned or controlled by the Insured;
 - (2) the use of any property or service obtainable from other sources;
 - (3) working extra time or overtime; or
 - (4) the use of inventory,all whether at an Insured Location or at any other location. The Insurers reserve the right to take into consideration the combined operating results of all associated, affiliated or subsidiary companies of the Insured in determining the Time Element loss.
- C. This Policy covers expenses reasonably and necessarily incurred by the Insured to reduce the loss otherwise payable under this PART E of the Policy. The amount of such recoverable expenses will not exceed the amount by which the loss has been reduced.
- D. Except as respects Leasehold Interest, in determining the amount of loss payable, the Insurers will consider the experience of the business before and after and the probable experience during the Period of Liability.
- E. If there is a loss at an Insured Location that involves interdependency at one or more other Insured Locations, the loss, including any resulting interdependency loss, will be adjusted based on the Time Element coverage that applies at the Insured Location where the direct physical loss or damage insured by this Policy occurred.

2. PERIOD OF LIABILITY

- A. The Period of Liability applying to all Time Element Coverages, except Leasehold Interest and as shown below, or if otherwise provided under the Time Element Coverage Extensions, is as follows:
 - (1) For buildings and equipment, the period:
 - (a) starting from the time of direct physical loss or damage of the type insured against; and

- (b) ending when with due diligence and dispatch the buildings and equipment could be:
 - (i) repaired or replaced; and
 - (ii) made ready for operations,under the same or equivalent physical and operating conditions that existed prior to the damage, irrespective of and not to be limited by the date of expiration of this Policy.

- (2) For buildings and equipment under incidental course of construction:
 - (a) the equivalent of the above period of time will be applied to the level of business that would have been reasonably achieved after construction and startup would have been completed had no direct physical loss or damage happened; and
 - (b) due consideration will be given to the actual experience of the business compiled after completion of the construction and startup.

This item does not apply to Commissions, Profits and Royalties.

- (3) For stock-in-process and mercantile stock, including finished goods not manufactured by the Insured, the time required with the exercise of due diligence and dispatch:
 - (a) to restore stock in process to the same state of manufacture in which it stood at the inception of the interruption of production or suspension of business operations or services; and
 - (b) to replace physically damaged mercantile stock.

This item does not apply to Rental Insurance.

- (4) For raw materials and supplies, the period of time:
 - (a) of actual interruption of production or suspension of operations or services resulting from the inability to get suitable raw materials and supplies to replace similar ones damaged; but
 - (b) limited to that period for which the damaged raw materials and supplies would have supplied operating needs.

- (5) If water:
 - (a) used for any manufacturing purpose, including but not limited to as a raw material or for power;
 - (b) stored behind dams or in reservoirs; and

- (c) on any Insured Location, is released as the result of direct physical loss or damage of the type insured against under this Policy to such dam, reservoir or connected equipment, the Insurers' liability for the actual interruption of production or suspension of operations or services due to inadequate water supply will not extend beyond 30 consecutive days after the damaged dam, reservoir or connected equipment has been repaired or replaced.

This item does not apply to Rental Insurance.

- (6) For physically damaged exposed films, records, manuscripts and drawings, the time required to copy from backups or from originals of a previous generation. This time does not include research, engineering or any other time necessary to restore or recreate lost information.

This item does not apply to Rental Insurance.

- B. The Period of Liability does not include any additional time due to the Insured's inability to resume operations for any reason, including but not limited to:

- (1) making changes to equipment.
- (2) making changes to the buildings or structures except as provided in the Demolition and Increased Cost of Construction clause in PART D of this Policy.
- (3) re-staffing or retraining employees.

If two or more Periods of Liability apply, such periods will not be cumulative.

3. TIME ELEMENT COVERAGES

The following coverages are never to exceed any applicable Sub-Limit of Liability stated in PART A - SCHEDULE. Where the words "not covered" are inserted in the Schedule (or where the limit is left blank), no coverage is granted in this Policy.

A. Gross Earnings

- (1) Measurement of Loss:
 - (a) The recoverable Gross Earnings loss is the Actual Loss Sustained by the Insured during the Period of Liability, calculated as follows:
 - (i) Gross Earnings;
 - (ii) less all charges and expenses that do not necessarily continue during the interruption of production or suspension of business operations or services;
 - (iii) plus all other earnings derived from the operation of the business.

- (b) In determining the indemnity payable as the Actual Loss Sustained, the Insurers will consider the continuation of only those normal charges and expenses (including up to 30 days Ordinary Payroll) that would have been incurred had no interruption of production or suspension of business operations or services occurred.
- (c) There is recovery hereunder but only to the extent that the Insured is:
 - (i) wholly or partially prevented from producing goods or continuing business operations or services;
 - (ii) unable to make up lost production within a reasonable period of time, not limited to the period during which production is interrupted;
 - (iii) unable to continue such operations or services during the Period of Liability; and
 - (iv) able to demonstrate a loss of sales for the operations, services or production prevented.
- (2) Additional definitions:

Gross Earnings, as used in item (1)(a)(i) means:

- (a) for manufacturing operations: the net sales value of production less the cost of all raw stock, materials and supplies used in such production; or
- (b) for mercantile or non-manufacturing operations: the total net sales less cost of merchandise sold, materials and supplies consumed in the operations or services rendered by the Insured.

Any amount recovered under property damage coverage at selling price for loss or damage to merchandise will be considered to have been sold to the Insured's regular customers and will be credited against net sales.

Ordinary Payroll, as used in item (1)(b) means the entire payroll expense for all employees of the Insured except officers, executives, department managers and employees under contract.

B. Extra Expense

- (1) Measurement of Loss:

The recoverable Extra Expense loss will be the reasonable and necessary extra costs incurred by the Insured of the following during the Period of Liability:

- (a) extra expenses to temporarily continue as nearly normal as practicable the conduct of the Insured's business;
- (b) extra costs of temporarily using property or facilities of the Insured or others; and

- (c) costs to purchase finished goods from third parties,
less any value remaining at the end of the Period of Liability for property obtained in connection with the above.
- (2) Extra Expense Exclusions: As respects Extra Expense, the following are also excluded:
 - (a) Any loss of income.
 - (b) Costs that normally would have been incurred in conducting the business during the same period had no direct physical loss or damage occurred.
 - (c) Cost of permanent repair or replacement of property that has been damaged or destroyed.
 - (d) Any expense recoverable elsewhere in this Policy.
- (3) The term normal means the condition that would have existed had no direct physical loss or damage occurred.

C. Leasehold Interest

- (1) Measurement of Loss:

The recoverable Leasehold Interest incurred by the Insured of the following:

- (a) If the lease agreement requires continuation of rent; and if the property is wholly untenable or unusable, the actual rent payable for the unexpired term of the lease; or if the property is partially untenable or unusable, the proportion of the rent payable for the unexpired term of the lease.
 - (b) If the lease is cancelled by the lessor pursuant to the lease agreement or by the operation of law the Lease Interest for the first three months following the loss; and the Net Lease Interest for the remaining unexpired term of the lease.
- (2) Additional definitions:
 - (a) Lease Interest means:

The excess rent paid for the same or similar replacement property over and above the actual rent payable plus cash bonuses or advance rent paid (including maintenance or operating charges) for each month during the unexpired term of the Insured's lease.

(b) Net Lease Interest means:

That sum which placed at 6% interest rate compounded annually would equal the Lease Interest (less any amounts otherwise payable hereunder).

(3) Leasehold Interest Exclusions: As respects Leasehold Interest, Time Element Exclusions A., B., and C. in clause 5 of this PART E do not apply and the following applies instead:

This Policy does not insure any increase in loss resulting from the suspension, lapse or cancellation of any license, or from the Insured exercising an option to cancel the lease; or from any act or omission of the Insured that constitutes a default under the lease.

In addition, there is no coverage for the Insured's loss of Leasehold Interest directly resulting from direct physical loss or damage to Personal Property.

D. Rental Insurance

(1) Measurement of Loss:

The recoverable Rental Insurance loss is the Actual Loss Sustained by the Insured of the following during the Period of Liability:

- (a) The fair rental value of any portion of the property occupied by the Insured;
- (b) The income reasonably expected from rentals of unoccupied or unrented portions of such property; and
- (c) The rental income from the rented portions of such property according to bona fide leases, contracts or agreements in force at the time of loss,

all not to include non-continuing charges and expenses.

(2) Rental Insurance Exclusions: As respects Rental Insurance, Time Element Exclusions A. in clause 5 of this PART E does not apply and the following applies instead:

This Policy does not insure any loss of rental income during any period in which the Property Insured would not have been tenantable for any reason other than an insured loss.

E. Commissions, Profits and Royalties

(1) Measurement of Loss:

- (a) The recoverable Commissions, Profits and Royalties loss is the Actual Loss Sustained by the Insured of the following during the Period of Liability:

- (i) Commissions, Profits and Royalties; less
 - (ii) non-continuing expenses and charges during the Period of Liability.
- (b) The Commissions, Profits and Royalties payable hereunder will be the Actual Loss Sustained of income to the Insured during the Period of Liability under any royalty, licensing fee or commission agreement between the Insured and another party which is not realizable due to direct physical loss or damage insured by this Policy to property of the other party of the type insured by this Policy located within the Territory stated in PART A - SCHEDULE.
- (c) The Insured will influence, to the extent possible, said party(ies) with whom the agreements described above have been made to use any other machinery, supplies or locations in order to resume business so as to reduce the amount of loss hereunder, and the Insured will cooperate with that party in every way to effect this. This Policy does not cover any cost to effect the above unless authorized in advance by the Insurers.
- (d) In determining the indemnity payable hereunder, the Insurers will consider the amount of income derived from such agreements before and the probable amount of income after the date of such direct physical loss or damage.
- (e) There is recovery hereunder but only if such direct physical loss or damage interrupts the delivery of goods in whole or in part to the Insured or for their account.
- (2) Commissions, Profits and Royalties Exclusions: As respects Commissions, Profits and Royalties, Time Element Exclusions C in clause 5 of this PART E does not apply.
- (3) Additional definitions:
 - (a) Commissions means:

The income that would have been received by the Insured from the sale of goods not owned by the Insured.
 - (b) Profits means:

The amount that would have been received by the Insured from the sale of goods belonging to the Insured, in excess of the cost to the Insured of such goods.
 - (c) Royalties means:

The income the Insured is not able to collect under royalty or licensing agreements.

4. TIME ELEMENT COVERAGE EXTENSIONS

This Policy includes the following Extensions up to but never to exceed any applicable Sub-Limit of Liability and/or Time Limit stated in PART A - SCHEDULE. Where the words "not covered" are inserted in the Schedule (or where the limit is left blank), no coverage is granted in this Policy.

A. Civil or Military Authority

This Policy covers the Actual Loss Sustained and Extra Expense incurred by the Insured due to the necessary interruption of the Insured's business due to prohibition of access to the Insured Location by order of a civil or military authority, provided that such order is a direct result of direct physical loss or damage of the type insured by this Policy, to the kind of property not excluded by this Policy situated within one statute mile of the Insured Location.

This Policy does not provide coverage under this Extension for more than the number of consecutive days specified in PART A - SCHEDULE.

There shall be no loss payable under this Coverage Extension unless the length of time the order prohibiting access to the Insured Location exceeds the Waiting Period shown in PART A - SCHEDULE. The loss shall be measured from the effective date of such order and ends when the order expires, but not to exceed the number of days or Sub-Limit described in PART A - SCHEDULE.

B. Extended Period of Liability

The Gross Earnings coverage is extended to cover the reduction in sales:

- (1) resulting from the interruption of business as covered by Gross Earnings;
- (2) for such additional length of time as would be required with the exercise of due diligence and dispatch to restore the Insured's business to the condition that would have existed had no loss occurred; and
- (3) commencing with the date on which the liability of the Insurers for loss resulting from interruption of business would terminate if this Extension had not been included herein.

Coverage under this Extension for the reduction in sales due to contract cancellation will include only those sales that would have been earned under the contract during the extended Period of Liability.

Coverage under this Extension does not apply for more than the number of consecutive days specified in PART A - SCHEDULE.

Extended Period of Liability Exclusions: As respects Extended Period of Liability, the Time Element Exclusions B in clause 5 of this PART E does not apply and the following applies instead:

This Policy does not insure against any increase in loss due to fines or damages for breach of contract or for late or non-completion of orders, or penalties of any nature.

C. Ingress/Egress

This Policy covers the Actual Loss Sustained and Extra Expense incurred by the Insured due to the necessary interruption of the Insured's business due to prevention of ingress to or egress from an Insured Location, whether or not the premises or property of the Insured has sustained damage, provided that such prevention is a direct result of direct physical loss or damage of the type insured by this Policy, to the kind of property not excluded by this Policy situated within one statute mile of the Insured Location.

Ingress/Egress Exclusions: As respects Ingress/Egress, the following additional exclusions are applicable:

This Policy does not insure loss resulting from:

- (1) lack of incoming or outgoing service consisting of electric, fuel, gas, water, steam, refrigerant, sewerage and telecommunication, Data or video transmissions.
- (2) picketing or other action by strikers except for direct physical loss or damage not excluded by this Policy.

This Policy does not provide coverage under this Extension for more than the number of consecutive days specified in PART A - SCHEDULE.

There shall be no loss payable under this Coverage Extension unless the prevention of ingress to or egress from the Insured Location exceeds the Waiting Period shown in PART A - SCHEDULE. The loss shall be measured from the date that ingress to or egress from Property Insured is prevented and ends when ingress to or egress from is no longer prevented, but not to exceed the number of days or Sub-limit described in PART A - SCHEDULE.

D. On Premises Services

This Policy covers the Actual Loss Sustained and Extra Expense incurred by the Insured during the Period of Liability directly resulting from direct physical loss or damage of the type insured by this Policy to the following property located within the Insured Location:

- (1) Electrical equipment and equipment used for the transmission of telecommunication, Data or video.
- (2) Electrical, fuel, gas, water, steam, refrigeration, sewerage, telecommunication, Data or video transmission lines.

E. Protection and Preservation of Property – Time Element

This Policy covers the Actual Loss Sustained by the Insured for a period of time not to exceed 48 hours after the Insured first taking reasonable action for the temporary protection and preservation of Property Insured by this Policy, provided such action is necessary to prevent immediately impending direct physical loss or damage insured by this Policy at such insured property.

This Extension is subject to the deductible provisions that would have applied had the direct physical loss or damage occurred.

F. Related Reported Values

If reported Time Element values include locations used by the Insured (such as branch stores, sales outlets and other plants) but not listed on a schedule of locations under this Policy on file with Insurers, and a Time Element loss would result at such locations, from insured direct physical loss or damage at an Insured Location, then this Policy provides coverage for such resulting Time Element loss in accordance with the coverage applicable at such Insured Location.

The Insured will influence and cooperate with such locations in every way and take any reasonable and necessary action to mitigate the loss payable under this Policy.

G. Service Interruption Time Element

- (1) This Policy covers the Actual Loss Sustained and Extra Expense incurred by the Insured during the Period of Service Interruption at Insured Locations when the loss is caused by the interruption of incoming services consisting of electricity, gas, fuel, steam, water, refrigeration or from the lack of outgoing sewerage service by reason of direct physical loss or damage of the type insured by this Policy to property of the type insured by this Policy of the supplier of such service located– on or directly outside the Insured Location, that immediately prevents in whole or in part the delivery of such usable services.
- (2) This Extension will apply when the Period of Service Interruption is in excess of the time specified in PART A - SCHEDULE as the Waiting Period.
- (3) Additional general provisions:
 - (a) The Insured will immediately notify the suppliers of services of any interruption of such services.
 - (b) The Insurers will not be liable if the interruption of such services is caused directly or indirectly by:
 - (i) the failure of the Insured to comply with the terms and conditions of any contracts the Insured has for the supply of such specified services;
 - (ii) loss or damage to overhead transmission lines located beyond the affected Insured Location;

- (4) intentional interruption by the Insured or any service provider. The term Period of Service Interruption means:
 - (i) The period starting with the time when an interruption of specified services occurs; and ending when with due diligence and dispatch the service could be wholly restored and the Insured Location receiving the service could or would have resumed normal operations following the restorations of service under the same or equivalent physical and operating conditions as provided by the Period of Liability clause in this PART E.
 - (ii) The Period of Service Interruption is limited to only those hours during which the Insured would or could have used services(s) if it had been available.
 - (iii) The Period of Service Interruption does not extend to include the interruption of operations caused by any reason other than interruption of the specified service(s).

5. TIME ELEMENT EXCLUSIONS

In addition to the exclusions elsewhere in this Policy, the following exclusions apply to Time Element loss:

This Policy does not insure against:

- A. Any loss during any idle period, including but not limited to when production, operation, service or delivery or receipt of goods would cease, or would not have taken place or would have been prevented due to:
 - (1) direct physical loss or damage not insured by this Policy on or away from the Insured Location.
 - (2) planned or rescheduled shutdown.
 - (3) strikes or other work stoppage.
 - (4) any reason other than direct physical loss or damage insured by this Policy.
- B. Any increase in loss due to:
 - (1) suspension, cancellation or lapse of any lease, contract, license or orders.
 - (2) fines or damages for breach of contract or for late or non-completion of orders.
 - (3) penalties of any nature.
 - (4) any other consequential or remote loss.
- C. Any loss resulting from loss or damage to finished goods manufactured by the Insured, nor the time required for their reproduction.

- D. Any loss, cost, charge or expense caused by, arising out of or resulting from the loss of or damage to property of any third-party, including but not limited to any customer, client, supplier, manufacturer or other provider of services.

This exclusion does not apply to the extent that coverage is specifically provided under any TIME ELEMENT COVERAGE EXTENSION in this Policy.

6. TIME ELEMENT INTERDEPENDENCY

If there is a loss at an Insured Location that involves interdependency at one or more other Insured Locations, the loss, including any resulting interdependency loss, will be adjusted based on the Time Element coverage that applies at the Insured Location where the direct physical loss or damage insured by this Policy occurred.

PART F - CLAIMS CONDITIONS

1. ABANDONMENT

There may be no abandonment of any property to the Insurers.

2. ARBITRATION

Notwithstanding any other provision in this Policy, any dispute or claim arising out of or relating to this insurance, including its formation and validity, shall be referred to arbitration. The arbitration shall be conducted in accordance with the ARIAS U.S. Neutral Panel Rules for the Resolution of U.S. Insurance and Reinsurance Disputes.

Any arbitration proceedings and interpretations shall take place in New York City, USA, unless mutually agreed otherwise by the parties to the arbitration.

The law applicable to this arbitration agreement and to the procedural aspects of the arbitral proceedings shall be the law of the State of New York.

3. CHOICE OF LAW

Unless otherwise stated in PART A – SCHEDULE, this Policy shall be subject to the applicable State law to be determined by the court of competent jurisdiction as determined by the provisions of the Service of Suit clause within this PART F.

4. COLLECTION FROM OTHERS

The Insurers will not be liable for any loss to the extent that the Insured has collected for such loss from others.

5. CURRENCY FOR LOSS PAYMENT

All amounts, including deductibles and limits of liability, indicated in this Policy are in the currency of the United States of America. Losses will be adjusted and paid in the currency of the United States of America.

6. INSURERS' OPTION

The Insurers have the option to take all or any part of damaged property at the agreed or appraised value. The Insurers must give notice to the Insured of their intention to do so within 30 days after receipt of proof of loss.

7. LOSS ADJUSTMENT/PAYABLE

Loss, if any, will be adjusted with and payable to the Insured first named in PART A - SCHEDULE, or as may be directed by such Insured. Additional insured interests will also be included in loss payment as their interests may appear when named as additional insured, lender, mortgagee and/or loss payee in an Evidence of Insurance.

8. PARTIAL PAYMENT OF LOSS SETTLEMENT

In the event of a loss occurring which has been ascertained to be insured loss or damage under this Policy and determined by the Insurers' representatives to be in excess of the applicable Policy deductible, the Insurers will advance mutually agreed upon partial payment(s) in respect of the insured loss or damage, subject to the Policy's provisions. To obtain said partial payments, the Insured will submit a signed and sworn proof of loss as described in this Policy, with adequate supporting documentation.

9. REQUIREMENTS IN CASE OF LOSS

The Insured will:

- (1) give immediate written notice to the Insurers of any loss. Each and every loss or damage insured under this Policy will be adjusted for the Insurers by:

Nathan Goodell - Snr Executive General Adjuster, Engle Martin;
Cell: (913) 424-6326; Email: Nathan.goodell@englemartin.com.

The Insured is therefore to give the notice of loss to:

- ARKFnewclaims@EngleMartin.com
 - Nathan.goodell@englemartin.com (cc);
- (2) protect the property from further loss or damage;
 - (3) promptly separate the damaged and undamaged property; put it in the best possible order; and furnish a complete inventory of the lost, destroyed, damaged and undamaged property showing in detail the quantities, costs, Actual Cash Value, replacement value and amount of loss claimed;
 - (4) give a signed and sworn proof of loss to the Insurers within 90 days after the loss, unless that time is extended in writing by the Insurers. The proof of loss must state the knowledge and belief of the Insured as to:
 - (a) the time and origin of the loss;
 - (b) the Insured's interest and that of all others in the property;
 - (c) the Actual Cash Value and replacement value of each item and the amount of loss to each item; all encumbrances; and all other contracts of insurance, whether valid or not, covering any of the property;
 - (d) any changes in the title, use, occupation, location, possession or exposures of the property since the effective date of this Policy;
 - (e) by whom and for what purpose any location insured by this Policy was occupied on the date of loss, and whether or not it then stood on leased ground.

- (5) include a copy of all the descriptions and schedules in all policies and, if required, provide verified plans and specifications of any buildings, fixtures, machinery or equipment destroyed or damaged.
- (6) as often as may be reasonably required:
 - (a) exhibit to any person designated by the Insurers all that remains of any property;
 - (b) submit to examination under oath by any person designated by the Insurers and sign the written records of examinations; and
 - (c) produce for examination at the request of the Insurers:
 - (i) all books of accounts, business records, bills, invoices and other vouchers; or
 - (ii) certified copies if originals are lost,at such reasonable times and places that may be designated by the Insurers or their representative and permit extracts and machine copies to be made.

10. SERVICE OF SUIT

This Service of Suit clause will not be read to conflict with or override the obligations of the parties to arbitrate their disputes as provided for in the Arbitration clause within this PART F. This clause is intended as an aid to compelling arbitration or enforcing such arbitral award, not as an alternative to such Arbitration clause for resolving disputes arising out of this Policy.

It is agreed that in the event of the failure of the Insurers to pay any amount claimed to be due under this Policy, the Insurers, at the request of the Insured, will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of the Insurers' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States.

It is further agreed that service of process in such suit may be made upon the person or persons specified in PART A - SCHEDULE for this purpose, and that in any suit instituted against any one of them upon this Policy, the Insurers will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

The person or persons specified in PART A - SCHEDULE are authorized and directed to accept service of process on behalf of the Insurers in any such suit and/or upon the request of the Insured to give a written undertaking to the Insured that they will enter a general appearance upon the Insurers' behalf in the event such a suit shall be instituted.

Further, pursuant to any statute of any State, territory or district of the United States which makes provision therefor, the Insurers designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Insured or any beneficiary under this Policy arising out of this Policy, and designate the above-named as the person to whom the said officer is authorized to mail such process or a true copy of it.

11. SETTLEMENT OF CLAIMS

The amount of loss, except for Accounts Receivable coverage, for which the Insurers may be liable will be paid within 30 days after:

- A. proof of loss as described in this Policy is received by the Insurers; and
- B. when a resolution of the amount of loss is made either by:
 - (1) written agreement between the Insured and the Insurers; or
 - (2) the filing with the Insurers of an award as provided in the Arbitration clause of this PART F.

12. SUBROGATION

The Insured is required to cooperate in any subrogation proceedings. The Insurers may require from the Insured an assignment or other transfer of all rights of recovery against any party for loss to the extent of the Insurers' payment.

SubroSmart and its law firm affiliate, Amborella Law PLLC (collectively, "The Amborella Group") have been appointed as subrogation manager and counsel to represent the Insurers' interests with express authority to investigate and prosecute subrogation recovery efforts for all claims made under this Policy.

Where required by the Insurers, SubroSmart referrals under this provision shall be submitted as follows:

- Via email to open-market@subrosmart.com
- Any urgent queries can be addressed to james.burman@subrosmart.com (USA Number: +1 972-944-5400/UK Number: +44 7857-372-048)

The Insurers will not acquire any rights of recovery that the Insured has expressly waived prior to a loss, nor will such waiver affect the Insured's rights under this Policy.

Any recovery from subrogation proceedings, less costs incurred by the Insurers in such proceedings, will be payable to the Insured in the proportion that the amount of:

- A. any applicable deductible; and/or
- B. any provable uninsured loss,

bears to the entire provable loss amount.

13. SUIT AGAINST THE INSURERS

No suit, action or proceeding for the recovery of any claim will be sustained in any court of law or equity unless:

- A. the Insured has fully complied with all the provisions of this Policy; and
- B. legal action is started within 12 months after inception of the loss.

If under the insurance laws of the jurisdiction in which the property is located, such 12 months' limitation is invalid, then any such legal action needs to be commenced within the shortest limitation of time permitted by such laws for time barring proceedings.

14. VALUATION

Adjustment of the direct physical loss or damage amount under this Policy will be computed as of the date of loss at the location of the loss, and for no more than the interest of the Insured.

Unless stated otherwise in an Additional Coverage or endorsement to this Policy and subject always to the Limit of Insurers' Liability provisions stated within PART C - INSURING AGREEMENT, adjustment of such loss amount will be subject to the following:

- A. On stock in process, the value of raw materials and labor expended plus the proper proportion of overhead charges.
- B. On finished goods manufactured by the Insured, the regular cash selling price at the Insured Location where the loss happens, less all discounts and charges to which the finished goods would have been subject had no loss happened.
- C. On raw materials, supplies and other merchandise not manufactured by the Insured:
 - (1) if repaired or replaced, the actual expenditure incurred in repairing or replacing the damaged or destroyed property; or
 - (2) if not repaired or replaced, the Actual Cash Value.
- D. On exposed films, records, manuscripts and drawings that are not Valuable Papers and Records or Data Processing Media, the value blank plus the cost of copying information from back-up or from originals of a previous generation. These costs will not include research, engineering or any costs of restoring or recreating lost information.
- E. On property covered under Deferred Payments, the lesser of the:
 - (1) total amount of unpaid installments less finance charges.
 - (2) Actual Cash Value of the property at the time of loss.

- (3) cost to repair or replace with material of like size, kind and quality.

F. On Fine Arts articles, the lesser of the:

- (1) reasonable and necessary cost to repair or restore such property to the physical condition that existed on the date of loss.
- (2) cost to replace the article.
- (3) value, if any, stated on a schedule on file with the Insurers.

In the event a Fine Arts article is part of a pair or set, and a physically damaged article cannot be replaced, or repaired or restored to the condition that existed immediately prior to the loss, the Insurers will be liable for the lesser of the full value of such pair or set or the amount designated on the schedule. The Insured agrees to surrender the pair or set to the Insurers.

G. On Valuable Papers and Records, the lesser of the:

- (1) cost to repair or restore the item to the physical condition that existed immediately prior to the loss.
- (2) cost to replace the item.
- (3) amount designated for the item on a schedule on file with the Insurers.

H. On property in transit:

- (1) property shipped to or for the account of the Insured will be valued at actual invoice to the Insured. Included in the value are accrued costs and charges legally due. Charges may include the Insured's commission as selling agent.
- (2) property sold by the Insured and shipped to or for the purchaser's account will be valued at the Insured's selling invoice amount. Prepaid or advanced freight costs are included.
- (3) property not under invoice will be valued:
 - (a) for property of the Insured, at the valuation provisions of this Policy applying at the location from which the property is being transported;
or
 - (b) for other property, at the actual cash market value at the destination point on the date of Occurrence,

less any charges saved which would have become due and payable upon arrival at destination.

I. On contractor's equipment and vehicles the loss amount will be valued at Actual Cash Value unless an agreed value applies.

- J. On Data Processing Media the cost to repair or replace the Data Processing Media itself plus the costs of copying the Data from back-up or from originals of a previous generation. These costs will not include research and engineering nor any costs of recreating, gathering or assembling the Data. If such media is not repaired, replaced or restored the basis of valuation shall be the cost of the blank Data Processing Media. However, this Policy excludes any amount pertaining to the value of such Data, to the Insured or any other party, even if such Data cannot be recreated, gathered or assembled.
- K. On the roof of any insured building or structure at an Insured Location (including any Newly Acquired Location or Miscellaneous Unnamed Location) damaged or destroyed by Windstorm and/or hail, which roof is of an age of 15 years or greater at the time of such damage or destruction, the Actual Cash Value of such roof at the time of such damage or destruction.
- L. On all other property, the loss amount will not exceed the lesser of the following:
 - (1) All with due diligence and dispatch:
 - (a) the cost to repair;
 - (b) the cost to rebuild or replace on the same site with new materials of like size, kind and quality;
 - (c) the cost in rebuilding, repairing or replacing on the same or another site, but not to exceed the size and operating capacity that existed on the date of loss;
 - (d) the cost to replace unrepairable electrical or mechanical equipment, including computer equipment, with equipment that is the most functionally equivalent to that damaged or destroyed, even if such equipment has technological advantages and/or represents an improvement in function and/or forms part of a program of system enhancement.
 - (2) The selling price of real property or machinery and equipment, other than stock, offered for sale on the date of loss.
 - (3) The increased cost of demolition, if any, resulting from loss covered by this Policy, if such property is scheduled for demolition.
 - (4) The unamortized value of improvements and betterments, if such property is not repaired or replaced at the Insured's expense.
 - (5) The Actual Cash Value if such property is:
 - (a) useless to the Insured; or
 - (b) not repaired, replaced or rebuilt on the same or another site within two years from the date of loss.

The Insured may elect not to repair or replace the insured property lost, damaged or destroyed. Loss settlement may be elected on the lesser of repair or replacement cost basis if the proceeds of such loss settlement are expended on other capital expenditures related to the Insured's operations within two years from the date of loss. As a condition of collecting under this item, such expenditure must be unplanned as of the date of loss and be made at an Insured Location under this Policy. This item does not extend to Demolition and Increased Cost of Construction.

PART G - GENERAL CONDITIONS

1. ACCESS TO RECORDS

The Insured shall make available to the Insurers at all reasonable times, and the Insurers through their designated representatives shall have the right to inspect and copy at their own expense, during the Period of Insurance of this Policy and thereafter, all books, papers and other records of the Insured and its agents or brokers in connection with this Policy or the subject matter hereof.

2. ADDITIONAL INSURABLE INTERESTS/CERTIFICATES OF INSURANCE

Additional insured interests are automatically added to this Policy as their interest may appear when named as additional insured, lender, mortgagee and/or loss payee in an Evidence of Insurance. Such interests become effective on the date shown in the Evidence of Insurance and will not amend, extend or alter the terms, conditions, provisions, exclusions and limits of liability of this Policy.

3. ASSIGNMENT

Assignment of this Policy will not be valid except with the prior written consent of the Insurers.

4. CANCELLATION

This Policy may be:

- A. cancelled at any time at the request of the Insured by giving written notice to the Insurers stating when such cancellation will take effect; or
- B. cancelled by the Insurers by giving the Insured not less than:
 - (1) 60 days' written notice of cancellation; or
 - (2) if the cancellation is for reasons of non-payment of premium for this Policy, notice in accordance with any premium payment terms expressly stated in the Policy.

Return of any unearned premium will be calculated using the New Short Rate Cancellation Table Endorsement (U.S.A.) (NMA0045) if the Insured cancels and on a pro-rata basis if the Insurers cancel this Policy. Return of any unearned premium will be made by the Insurers as soon as practicable. However, if any loss has been paid, or notification of loss accepted, by the Insurers under this Policy, the Insurers reserve the right to deem all premium to be fully earned with no return of premium payable.

5. CONFORMITY WITH STATUTE

Any terms of this Policy which may conflict with applicable statutes (or statutes deemed applicable by a court of competent jurisdiction) are amended to conform with the minimum requirements of such statutes.

In the event that any provision of this Policy is found by a court of competent jurisdiction to be invalid or unenforceable, the other provisions of this Policy and the remainder of the provision in question shall not be affected thereby and shall remain in full force and effect.

6. INSPECTIONS

The Insurers, at all reasonable times, will be permitted, but will not have the duty, to inspect Property Insured. The Insurers do not address life, safety or health issues.

The Insurers':

- A. right to make inspections;
- B. making of inspections; or
- C. analysis, advice or inspection report,

will not constitute an undertaking, on behalf of or for the benefit of the Insured or others. The Insurers will have no liability to the Insured or any other person because of any inspection or failure to inspect.

When the Insurers are not providing jurisdictional inspections, the owner/operator has the responsibility to assure that jurisdictional inspections are performed as required, and to assure that required jurisdictional Operating Certificates are current for their pressure equipment.

7. LENDERS LOSS PAYEE AND MORTGAGEE INTERESTS AND OBLIGATIONS

- A. The Insurers will pay for loss to specified Property Insured under this Policy to each specified Lender Loss Payee (hereinafter referred to as Lender), if any, as its interest may appear, and to each specified Mortgagee, if any, as its interest may appear, under all present or future mortgages upon such property, in order of precedence of the mortgages.
- B. The interest of the Lender or Mortgagee (as the case may be) in Property Insured under this Policy will not be invalidated by:
 - (1) any act of neglect of the debtor, mortgagor, or owner (as the case may be) of the property.
 - (2) foreclosure, notice of sale, or similar proceedings with respect to the property.
 - (3) change in the title or ownership of the property.
 - (4) change to a more hazardous occupancy.

The Lender or Mortgagee will notify the Insurers of any known change in ownership, occupancy, or hazard and, within 10 days of written request by the Insurers, may pay the increased premium associated with such known change. If the Lender or Mortgagee fails to pay the increased premium, all coverage under this Policy will cease.

- C. If this Policy is canceled at the request of the Insured or its agent, the coverage for the interest of the Lender or Mortgagee will terminate 10 days after the Insurers send to the Lender or Mortgagee written notice of cancellation, unless:
- (1) sooner terminated by authorization, consent, approval, acceptance, or ratification of the Insured's action by the Lender or Mortgagee, or its agent.
 - (2) this Policy is replaced by the Insured, with a policy providing coverage for the interest of the Lender or Mortgagee, in which event coverage under this Policy with respect to such interest will terminate as of the effective date of the replacement policy, notwithstanding any other provision of this Policy.
- D. The Insurers may cancel this Policy and/or the interest of the Lender or Mortgagee under this Policy, by giving the Lender or Mortgagee written notice 30 days prior to the effective date of cancellation, if cancellation is for any reason other than non-payment. If the debtor, mortgagor, or owner has failed to pay any premium due under this Policy, the Insurers may cancel this Policy for such non-payment, but will give the Lender or Mortgagee notice prior to the effective date of cancellation in accordance with any premium payment terms expressly stated in the Policy. If the Lender or Mortgagee fails to pay the premium due by the specified cancellation date, all coverage under this Policy will cease.
- E. The Insurers have the right to invoke the Suspension clause in this PART G. The suspension of insurance will apply to the interest of the Lender or Mortgagee in any machine, vessel, or part of any machine or vessel, subject to the suspension. The Insurers will provide the Lender or Mortgagee at the last known address a copy of the suspension notice.
- F. If the Insurers pay the Lender or Mortgagee for any loss, and deny payment to the debtor, mortgagor or owner, the Insurers will, to the extent of the payment made to the Lender or Mortgagee be subrogated to the rights of the Lender or Mortgagee under all securities held as collateral to the debt or mortgage. No subrogation will impair the right of the Lender or Mortgagee to sue or recover the full amount of its claim. At their option, the Insurers may pay to the Lender or Mortgagee the whole principal due on the debt or mortgage plus any accrued interest. In this event, all rights and securities will be assigned and transferred from the Lender or Mortgagee to the Insurers, and the remaining debt or mortgage will be paid to the Insurers.
- G. If the Insured fails to render proof of loss, the Lender or Mortgagee, upon notice of the Insured's failure to do so, will render proof of loss within 60 days of notice and will be subject to the provisions of this Policy relating to Arbitration, Settlement of Claims, and Service of Suit.
- H. Other provisions relating to the interests and obligations of the Lender or Mortgagee may be added to this Policy by agreement of the Insurers in writing.

8. MISREPRESENTATION AND FRAUD

This entire Policy and any loss or claim hereunder will be void if, whether before or after a loss, an Insured has:

- A. willfully concealed or misrepresented any material fact or circumstance;
- B. engaged in fraudulent conduct; or
- C. made false statements;

relating to this Policy or any claim hereunder.

9. OTHER INSURANCE

- A. If there is any other insurance that would apply in the absence of this Policy, this Policy will apply only after such insurance whether collectible or not.
- B. In no event will this Policy apply as contributing insurance, however, in the event this Policy is deemed to contribute with other insurance, the limit of liability applicable at each Location, for purposes of such contribution with other insurers, will be the latest amount described in this Policy or the latest Location value on file with the Insurers.
- C. The Insured is permitted to have other insurance over any limits or sub-limits of liability specified elsewhere in this Policy without prejudice to this Policy. The existence of any such insurance will not reduce any limit or sub-limit of liability in this Policy. Any other insurance that would have provided primary coverage in the absence of this Policy will not be considered excess.
- D. The Insured is permitted to have other insurance for all, or any part, of any deductible in this Policy. The existence of such other insurance will not prejudice recovery under this Policy. If the limits of liability of such other insurance are greater than this Policy's applicable deductible, this Policy's insurance will apply only after such other insurance has been exhausted.

10. POLICY MODIFICATION

The Insured and the Insurers may request changes to this Policy. This Policy can be changed only by endorsements issued by the Insurers and made a part of this Policy.

Notice to any agent or knowledge possessed by any agent or by any other person will not:

- A. create a waiver, or change any part of this Policy; or
- B. prevent the Insurers from asserting any rights under the provisions of this Policy.

11. RIGHTS OF THIRD PARTIES EXCLUSION

This Policy is effected solely between the Insured and the Insurers.

This Policy shall not confer any benefits on any third parties, including shareholders, and no such third party may enforce any term of this Policy.

This clause shall not affect the rights of the Insured.

12. SANCTIONS

No Insurer shall be deemed to provide cover and no Insurer shall be liable to pay any claim or provide any benefit under this Policy to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that Insurer to any sanction, prohibition or restriction under United Nations resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

13. SALVAGE AND RECOVERIES

All salvages, recoveries and payments recovered or received subsequent to a loss settlement under this Policy shall be applied as if recovered or received prior to the said settlement and all necessary adjustments shall be made by the parties hereto.

14. SUSPENSION

On discovery of a dangerous condition in a machine, vessel or a part thereof, the Insurers may immediately suspend this insurance on such machine, vessel or part by giving written notice to the Insured. The suspended insurance may be reinstated by the Insurers. Any unearned premium resulting from such suspension will be returned by the Insurers.

15. TITLES

The titles in this Policy are only for reference. The titles do not in any way affect the provisions of this Policy.

PART H - TERRORISM OR SABOTAGE EXTENSION

Where Terrorism is shown as being excluded in the Risk Details section of the MRC or in any endorsement issued to form a part of this Policy, then no coverage is granted by this Part.

SECTION (1): PHYSICAL LOSS OR PHYSICAL DAMAGE

Based on the LMA3030B Terrorism Insurance wording

1. INSURING CLAUSE

In consideration of the payment of premium as specified in PART A - SCHEDULE and subject to the terms, conditions and exclusions of this Policy of which this Extension forms a part, and also to the following additional exclusions, limits and conditions, PART C – INSURING AGREEMENT of this Policy is extended to cover the Property Insured by this Policy against physical loss or physical damage occurring during the Period of Insurance at an Insured Location caused by a Terrorist Act or an Act of Sabotage, as herein defined.

For the purpose of this PART H, a Terrorist Act means an act or series of acts that includes the use of force or violence, by any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organization(s), committed for political, religious or ideological purposes including the intention to influence any government and/or to put the public in fear for such purposes.

For the purpose of this PART H, an Act of Sabotage means a subversive act or series of such acts committed for political, religious or ideological purposes including the intention to influence any government and/or to put the public in fear for such purposes.

2. LOSSES EXCLUDED

In addition to the exclusions stated in PART D – PROPERTY DAMAGE, this PART H SECTION (1) does not insure against:

- A. loss or damage arising directly or indirectly from nuclear detonation, nuclear reaction, nuclear radiation or radioactive contamination, however such nuclear detonation, nuclear reaction, nuclear radiation or radioactive contamination may have been caused.
- B. loss by seizure or legal or illegal occupation unless physical loss or damage is caused directly by a Terrorist Act or an Act of Sabotage.
- C. loss or damage directly or indirectly arising from or in consequence of the seepage and or discharge of any Contaminant.
- D. loss or damage arising directly or indirectly from or in consequence of chemical or biological emission, release, discharge, dispersal or escape or chemical or biological exposure of any kind.
- E. any fine or penalty or other assessment which is incurred by the Insured or which is imposed by any court, government agency, public or civil authority or any other person.

- F. loss or damage by electronic means including but not limited to computer hacking or the introduction of any form of computer virus or corrupting or unauthorized instructions or code or the use of any electromagnetic weapon.

This exclusion shall not operate to exclude losses (which would otherwise be covered under this PART H) arising from the use of any Computer System or any other electronic system in the launch and/or guidance system and/or firing mechanism of any weapon or missile.

- G. loss or damage caused by a Deliberate Act or by way of riot, strike, protest, lockout, civil commotion or civil disturbance.
- H. loss or damage caused by measures taken to prevent, suppress or control an actual or potential Terrorist Act or an Act of Sabotage unless agreed by the Insurers in writing prior to such measures being taken.
- I. any consequential loss or damage, loss of use, delay or loss of markets, loss of income, depreciation, reduction in functionality, or increased cost of working.
- J. loss or damage caused by factors including but not limited to cessation, fluctuation or variation in, or insufficiency of, water, gas or electricity supplies and telecommunications or any type of service.
- K. loss or increased cost as a result of threat or hoax.

3. PROPERTY EXCLUDED

In addition to the exclusions stated in PART D – PROPERTY DAMAGE, this PART H SECTION (1) does not cover physical loss or physical damage to:

- A. any property located within the zip codes stated in APPENDIX (2) - LIST OF EXCLUDED TERRORISM ZIP CODES;
- B. any building or structure, or property contained therein, while such building or structure is vacant (having less than 25% occupancy) or unoccupied or inoperative, unless the Insurers have agreed to cover such building or structure at the inception of the Policy or in accordance with the Vacancy Warranty in PART D – PROPERTY DAMAGE.
- C. property in transit not on the Insured's premises.

4. ADDITIONAL CONDITIONS

In addition to the conditions stated in PART D – PROPERTY DAMAGE, PART F – CLAIMS CONDITIONS and PART G – GENERAL CONDITIONS, this PART H SECTION (1) is subject to the following:

A. Occurrence Definition

For the purpose of this PART H, the term "Occurrence" shall mean any one loss and/or series of losses arising out of and directly occasioned by one Terrorist Act or series of Terrorist Acts or one Act of Sabotage or series of Acts of Sabotage for the same purpose or cause. The duration and extent of any one "Occurrence" shall be limited to all losses sustained by the Insured at the Property Insured herein during any period of 72 consecutive hours arising out of the same purpose or cause. However no such period of 72 consecutive hours may extend beyond the expiration of this Policy unless the Insured shall first sustain direct physical damage by a Terrorist Act or an Act of Sabotage prior to expiration and within said period of 72 consecutive hours nor shall any period of 72 consecutive hours commence prior to the attachment of this Policy.

B. Due Diligence

The Insured (or any of the Insured's agents, sub or co-contractors) must use due diligence and do (and concur in doing and permit to be done) everything reasonably practicable, including but not limited to taking precautions to protect or remove the Property Insured, to avoid or diminish any loss herein insured and to secure compensation for any such loss including action against other parties to enforce any rights and remedies or to obtain relief or indemnity.

C. Protection Maintenance

It is agreed that any protection provided for the safety of the Property insured shall be maintained in good order throughout the currency of this Policy and shall be in use at all relevant times, and that such protection shall not be withdrawn or varied to the detriment of the interests of the Insurers without their consent.

D. Limits of the Insurers' Liability

The Insurers' maximum liability for loss under PART H shall be subject to the applicable Sub-Limit of Liability shown in PART A – SCHEDULE, which is a single limit for losses under PART H SECTION (1) and PART H SECTION (2) combined. The coverage under this PART H SECTION (1) will not operate to increase:

- (1) any other Sub-Limits of Liability stated in PART A – SCHEDULE or in any endorsement to this Policy; or
- (2) the **Policy Limit of Liability**.

E. Burden of Proving Loss

In any claim and/or action, suit or proceeding to enforce a claim for loss under PART H, the burden of proving that the loss is recoverable under PART H and that no limitation or exclusion of this Policy applies and the quantum of loss shall fall upon the Insured.

SECTION (2): TIME ELEMENT LOSSES

1. INSURING CLAUSE

In consideration of the payment of premium as specified in PART A - SCHEDULE and subject to the terms, conditions and exclusions of the Policy of which this Extension forms a part, and also to the following additional conditions, exclusions and limitations, PART E - TIME ELEMENT LOSSES of this Policy is extended to insure Time Element loss, as provided in the Time Element Coverages, directly resulting from direct physical loss or damage insured by PART H SECTION (1) of this Policy occurring during the Period of Insurance to the Property Insured during the Period of Liability described in PART E of the Policy.

2. LIMIT OF THE INSURER'S LIABILITY

The Insurers' maximum liability for loss under PART H shall be subject to the applicable Sub-Limit of Liability shown in PART A – SCHEDULE, which is a single limit for losses under PART H SECTION (1) and PART H SECTION (2) combined. The coverage under this PART H SECTION (2) will not operate to increase:

- A. any other Sub-Limits of Liability stated in PART A – SCHEDULE or in any endorsement to this Policy; or
- B. the **Policy Limit of Liability**.

APPENDIX (1) – LIST OF TIER 1 AND TIER 2 COUNTIES

TIER 1:

Alabama:

Baldwin County	Mobile County
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Connecticut:

Fairfield County	Middlesex County	New Haven County
New London		

Delaware:

Kent County	New Castle County	Sussex County
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Florida:

All Counties

Georgia:

Bryan County	Camden County	Chatham County
Glynn County	Liberty County	McIntosh County

Louisiana:

Assumption Parish	Cameron Parish	Iberia Parish
Jefferson Parish	Lafourche Parish	Orleans Parish
Plaquemines Parish	St. Bernard Parish	St. Charles Parish
St. James Parish	St. John the Parish	St. Martin Parish
St. Mary Parish	St. Tammany Parish	Terrebonne Parish
Vermilion Parish		

Maine:

Cumberland County	Hancock County	Knox County
Lincoln County	Sagadahoc County	Waldo County
Washington County	York County	

Maryland:

Anne Arundel County	Baltimore City	Baltimore County
Calvert County	Caroline County	Cecil County
Charles County	Dorchester County	Harford County
Prince George's County	Queen Anne's County	Somerset County
St. Mary's County	Talbot County	Wicomico County
Worcester County		

Massachusetts:

Barnstable County	Bristol County	Dukes County
Essex County	Nantucket County	Norfolk County
Plymouth County	Suffolk County	

Mississippi:

Hancock County	Harrison County	Jackson County
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New Hampshire:

Rockingham County

New Jersey:

Atlantic County	Cape May	Cumberland County
Hudson County	Middlesex County	Monmouth County
Ocean County	Salem County	

New York:

Bronx County	Kings County	Nassau County
New York	Queens County	Richmond County
Suffolk County		

North Carolina:

Beaufort County	Brunswick County	Camden County
Carteret County	Chowan County	Currituck County
Dare County	Hyde County	New Hanover
Onslow County	Pamlico County	Pasquotank County
Pender County	Perquimans County	Tyrrell County
Washington County		

Rhode Island:

Newport County	Washington County
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South Carolina:

Beaufort County	Berkeley County	Charleston County
Colleton County	Georgetown County	Horry County
Jasper County		

Texas:

Aransas County	Brazoria County	Calhoun County
Cameron County	Chambers County	Galveston County
Harris County	Jackson County	Jefferson County
Kenedy County	Kleberg County	Matagorda County
Nueces County	Refugio County	San Patricio County
Willacy County		

Virginia:

Accomack County	Chesapeake City	Essex County
Gloucester County	Hampton City	Isle of Wight
James City County	King George County	Lancaster County
Mathews County	Middlesex County	Norfolk County
Northampton County	Northumberland County	Poquoson City
Portsmouth City	Richmond County	Suffolk City
Surry County	Virginia Beach County	Westmoreland County
Williamsburg City	York County	

TIER 2:**Alabama:**

Clarke County	Conecuh County	Covington County
Escambia County	Geneva County	Houston County
Monroe County	Washington County	

Georgia:

Appling County	Atkinson County	Bacon County
Brantley County	Brooks County	Bulloch County
Candler County	Charlton County	Clinch County
Colquitt County	Cook County	Decatur County
Echols County	Effingham County	Evans County
Grady County	Lanier County	Long County
Lowndes County	Miller County	Pierce County
Screven County	Seminole County	Tattnall County
Thomas County	Ware County	Wayne County

Louisiana:

Acadia Parish	Allen Parish	Ascension Parish
Avoyelles Parish	Beauregard Parish	Calcasieu Parish
East Baton Rouge Parish	East Feliciana Parish	Evangeline Parish
Iberville Parish	Jefferson Davis Parish	Lafayette Parish
Livingston Parish	Pointe Coupee Parish	Rapides Parish
St. Helena Parish	St. Landry Parish	Tangipahoa Parish
Vernon Parish	Washington Parish	West Baton Rouge Parish
West Feliciana Parish		

Mississippi:

Amite County	Forrest County	George County
Greene County	Lamar County	Marion County
Pearl River County	Perry County	Pike County
Stone County	Walthall County	

North Carolina:

Bertie County	Bladen County	Columbus County
Craven County	Duplin County	Gates County
Greene County	Hertford County	Jones County
Lenoir County	Martin County	Pitt County
Robeson County	Sampson County	Wayne County

South Carolina:

Allendale County	Bamberg County	Calhoun County
Clarendon County	Dillon County	Dorchester County
Florence County	Hampton County	Marion County
Orangeburg County	Williamsburg County	

Texas:

Austin County	Bee County	Brooks County
Colorado County	Duval County	Fort Bend County
Goliad County	Hardin County	Hidalgo County
Jasper County	Jim Hogg County	Jim Wells County
Karnes County	Lavaca County	Liberty County
Live Oak County	McMullen County	Montgomery County
Newton County	Orange County	Polk County
San Jacinto County	Starr County	Tyler County
Victoria County	Waller County	Wharton County

Virginia:

Alexandria City	Arlington County	Caroline County
Charles City County	Colonial Heights City	Fairfax City
Fairfax County	Falls Church City	Franklin City
Fredericksburg City	Hanover County	Henrico County
Hopewell City	King and Queen County	King William County
Manassas City	Manassas Park City	New Kent County
Newport News City	Petersburg City	Prince George County
Prince William County	Richmond City	Southampton County
Spotsylvania County	Stafford County	Sussex County

APPENDIX (2) – LIST OF EXCLUDED TERRORISM ZIP CODES

Boston:

2109	2110	2116
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Chicago:

60601	60602	60603	60604	60605	60606	60607
60608	60609	60610	60611	60670		

Houston:

77002	77276	77015
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New York:

10001	10002	10003	10004	10005	10006	10007
10008	10009	10010	10011	10012	10013	10014
10015	10016	10017	10018	10019	10020	10021
10022	10023	10024	10025	10026	10027	10028
10029	10036	10038	10044	10047	10048	10103
10110	10111	10112	10119	10128	10152	10153
10154	10165	10166	10167	10168	10169	10170
10171	10172	10173	10174	10175	10176	10177
10199						

San Francisco:

94101	94102	94103	94104	94105	94107	94108
94109	94110	94111	94112	94114	94115	94116
94117	94118	94121	94122	94123	94124	94127
94129	94131	94132	94133	94134		

Seattle:

98101

Washington:

20001	20003	20004	20005	20006	20007	20024
20036	20037	20091	20373	20590	56901	56920

Named Storm Extension Endorsement

Forming part of Policy Number:	
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This endorsement modifies insurance provided under the following Policy Wording:

PROPERTY DAMAGE AND TIME ELEMENT INSURANCE (PDTE 02 25)

In consideration of the payment of premium as specified in PART A - SCHEDULE of the Policy Wording, and subject to the terms, conditions, definitions and exclusions of the Policy and to the additional provisions stated in 1. to 5. inclusive below, it is agreed that notwithstanding exclusion B (3) within clause 5, EXCLUSIONS, of PART D – PROPERTY DAMAGE of the Policy Wording, the Policy is extended to cover direct physical loss or damage caused by or resulting from Named Storm.

Consequently, certain changes are made to the Policy Wording:

1. The following Sub-Limit of Liability is added to the **Program Sub-Limits** shown in PART A – SCHEDULE:

Named Storm:	<<insert limit>>
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2. Clause 19, Occurrence, within PART B - GENERAL DEFINITIONS, is deleted in its entirety and replaced with the following:

19. **Occurrence**

The sum of all individual losses or series of individual losses resulting from or arising out of and directly occasioned by any one insured event regardless of the number of Insured Locations affected.

When the term Occurrence so defined applies to a loss or series of losses from any of the following causes, one Occurrence shall be construed to be all losses arising during a period of:

- A. 72 consecutive hours as regards a Named Storm, Windstorm, rainstorm, and/or hailstorm;
- B. 72 consecutive hours as regards any Occurrence which includes individual loss or losses from any of the causes mentioned in A. above;

and no individual loss from whatever insured cause, which occurs outside these periods or areas, shall be included in that Occurrence.

The Insured may choose the date and time when any such period of consecutive hours commences and if any insured event is of greater duration than the above period, the Insured may divide that event into two or more Occurrences provided no two periods overlap and provided no period commences earlier than the date and time of the happening of the first recorded individual loss to the Insured in that insured event during the Period of Insurance.

Market Reform Contract Initials / Date	L/UWR
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3. The following paragraph is added to clause 3, LIMIT OF INSURERS' LIABILITY, within PART C – INSURING AGREEMENT:

Any Sub-limit for Windstorm or Named Storm is the maximum amount potentially recoverable from all insurance layers and program policies combined for all insured loss, damage, expense, Time Element or other insured interest arising from or relating to such an Occurrence.

4. The following clause is added to clause 4, ADDITIONAL PROPERTY DAMAGE COVERAGES, within PART D – PROPERTY DAMAGE:

Named Storm

This Policy covers direct physical loss or damage caused by or resulting from Named Storm.

5. The 'Listed Perils' stated in exclusion I (1) within clause 5, EXCLUSIONS, of PART D – PROPERTY DAMAGE are deleted in their entirety and replaced with the following:

fire; explosion; lightning; Windstorm; Named Storm; hail; direct impact of vehicle, aircraft or vessel; or accidental discharge of fire protective equipment.

All other terms, conditions, definitions and exclusions of the Policy remain unchanged.

Market Reform Contract Initials / Date	L/UWR
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Earth Movement, Flood and Named Storm Extension Endorsement

Forming part of Policy Number:	
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This endorsement modifies insurance provided under the following Policy Wording:

PROPERTY DAMAGE AND TIME ELEMENT INSURANCE (PDTE 02 25)

In consideration of the payment of premium as specified in PART A - SCHEDULE of the Policy Wording, and subject to the terms, conditions, definitions and exclusions of the Policy and to the additional provisions stated in 1. to 5. inclusive below, it is agreed that notwithstanding exclusion B within clause 5, EXCLUSIONS, of PART D – PROPERTY DAMAGE of the Policy Wording, the Policy is extended to cover direct physical loss or damage caused by or resulting from:

- (A) Earth Movement;
- (B) Flood; and
- (C) Named Storm.

Consequently, certain changes are made to the Policy Wording:

1. The following Sub-Limits of Liability are added to the **Program Sub-Limits** shown in PART A – SCHEDULE:

Earth Movement:	<<insert limit>> in the aggregate during the Period of Insurance
Flood:	<<insert limit>> in the aggregate during the Period of Insurance
Named Storm:	<<insert limit>>

2. Clause 19, Occurrence, within PART B - GENERAL DEFINITIONS, is deleted in its entirety and replaced with the following:

19. Occurrence

The sum of all individual losses or series of individual losses resulting from or arising out of and directly occasioned by any one insured event regardless of the number of Insured Locations affected.

When the term Occurrence so defined applies to a loss or series of losses from any of the following causes, one Occurrence shall be construed to be all losses arising during a period of:

- A. 72 consecutive hours as regards a Named Storm, Windstorm, rainstorm, and/or hailstorm;

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B. 72 consecutive hours as regards Earth Movement;

C. 72 consecutive hours as regards any Occurrence which includes individual loss or losses from any of the causes mentioned in A. and B. above;

and no individual loss from whatever insured cause, which occurs outside these periods or areas, shall be included in that Occurrence.

The Insured may choose the date and time when any such period of consecutive hours commences and if any insured event is of greater duration than the above period, the Insured may divide that event into two or more Occurrences provided no two periods overlap and provided no period commences earlier than the date and time of the happening of the first recorded individual loss to the Insured in that insured event during the Period of Insurance.

With respect to Flood, Occurrence shall mean all losses, wherever occurring, which arise between the time of movement of water into, onto, or over the Property Insured hereunder and the receding of the same, regardless of the period of time so embraced; except, no Occurrence shall be deemed to commence earlier than the date and time of the happening of the first recorded individual loss to the Insured in that Occurrence during the Period of Insurance.

3. The following paragraph is added to clause 3, LIMIT OF INSURERS' LIABILITY, within PART C – INSURING AGREEMENT:

Any Sub-limit for Earth Movement, Flood, Windstorm or Named Storm, is the maximum amount potentially recoverable from all insurance layers and program policies combined for all insured loss, damage, expense, Time Element or other insured interest arising from or relating to such an Occurrence. If Flood occurs in conjunction with a Windstorm, Named Storm or Earth Movement, the Flood Sub-limit applies within and erodes the Sub-limit for that Windstorm, Named Storm or Earth Movement.

4. The following clauses are added to clause 4, ADDITIONAL PROPERTY DAMAGE COVERAGES, within PART D – PROPERTY DAMAGE:

Earth Movement

This Policy covers direct physical loss or damage caused by or resulting from Earth Movement.

Flood

This Policy covers direct physical loss or damage caused by or resulting from Flood.

Named Storm

This Policy covers direct physical loss or damage caused by or resulting from Named Storm.

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5. The 'Listed Perils' stated in exclusion I (1) within clause 5, EXCLUSIONS, of PART D – PROPERTY DAMAGE are deleted in their entirety and replaced with the following:

fire; explosion; lightning; Windstorm; Named Storm; hail; direct impact of vehicle, aircraft or vessel; or accidental discharge of fire protective equipment.

All other terms, conditions, definitions and exclusions of the Policy remain unchanged.

Machinery Breakdown Extension Endorsement

Forming part of Policy Number:	
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This endorsement modifies insurance provided under the following Policy Wording:

PROPERTY DAMAGE AND TIME ELEMENT INSURANCE (PDTE 01 26)

In consideration of the payment of premium as specified in PART A - SCHEDULE of the Policy Wording, and subject to the terms, conditions, definitions and exclusions of the Policy and to the additional provisions stated in 1. to 3. inclusive below, it is agreed that notwithstanding exclusion F.(2) and F.(3) within clause 5, EXCLUSIONS, of PART D – PROPERTY DAMAGE of the Policy Wording, the Policy is extended to cover direct physical loss or damage arising from an Accident to an Object occurring during the Period of Insurance.

1. Additional Definitions applying to this Extension Endorsement

A. Object

Any equipment or apparatus described below which is part of the Property Insured and is included in the latest Statement of Values on file with the Insurers, subject to the exclusions specified in this Extension Endorsement, while located on the premises of the Insured at an Insured Location:

- i. Any boiler (including any waste heat recovery steam generator), fired pressure vessel, unfired vessel normally subject to vacuum or internal pressure other than static pressure of contents, refrigerating or air conditioning system, or piping and its accessory equipment, but an Object does not mean or include:
 - a. any refractory or insulating material, or boiler setting;
 - b. any oven, stove, furnace or incinerator, except that:
 - (i) a reformer shall not be deemed a furnace within the intended meaning of the term furnace;
 - (ii) the combustor of any gas turbine of the internal combustion type shall not be considered to be a furnace as this word is used in the definition of Object, or in Additional Exclusion A. below;
 - c. any sewer piping, piping forming a part of a sprinkler system or water piping other than:
 - (i) feed water piping between any boiler and its feed pumps or injectors;
 - (ii) boiler condensate return piping; or
 - (iii) water piping connected to and forming part of a refrigerating or air conditioning system.

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- ii. Any mechanical or electrical machine or apparatus used for the generation, transmission, or utilization of mechanical or electrical power, but an Object does not mean or include:
 - a. any structure or foundation other than the bedplate of a machine;
 - b. any oven, kiln, stove, furnace, incinerator or pot, but a reformer shall not be deemed a furnace within the intended meaning of this term where used in this exclusion;
 - c. any watercraft, aircraft, drone, spacecraft, satellite or vehicle;
 - d. any elevator, escalator, conveyer, crane or hoist, but not excluding any electrical equipment or gears mounted on, or forming a part of, any such machine or apparatus;
 - e. any Computer System, but not excluding any computer equipment or electronic device used for product quality control, process control, or operational control of production machinery;
 - f. any x-ray machine, electron microscope, laser, particle accelerator, beta gauge, spectrograph, or any equipment or apparatus utilizing radioactive materials;
 - g. any refractory material.

B. Accident

A sudden and accidental breakdown, including if arising from exothermic reaction, of the Object or a part of it, which manifests itself while said Object is operating by physical damage to the Object and which necessitates repair or replacement of the Object or part; but Accident does not mean:

- i. depletion, deterioration, corrosion, or erosion of material;
- ii. wear and tear;
- iii. leakage at any valve, fitting, shaft seal, gland packing, joint or connection;
- iv. the breakdown of any vacuum tube, gas tube or brush;
- v. the breakdown of any Computer System;
- vi. the breakdown of any structure or foundation supporting the Object or any part of it; nor
- vii. the functioning of any safety device or protective device.

2. Additional Exclusions applying to this Extension Endorsement

- A. In respect of any Object, the Insurers shall not be liable for loss from explosion of gas or unconsumed fuel within the furnace of such Object or within the passages from the furnace to the atmosphere, whether or not such explosion:

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- i. is contributed to or aggravated by an Accident to any part of said Object that contains water or steam; or
 - ii. is caused in whole or in part, directly or indirectly, by an Accident to any Object, or a part of it.
- B. In respect of any electrical machine or electrical apparatus, the Insurers shall not be liable for loss from an Accident while said Object is undergoing an insulation breakdown test or is being dried out.
- C. It is agreed that the Insurers shall not be liable for payment of loss or damage under this Extension Endorsement resulting from an Accident caused by explosion other than explosion caused by the internal pressure of steam in the following equipment:
 - i. steam boilers, steam superheaters, waste heat recovery steam generators, steam turbines and steam engines; or
 - ii. steam pipes used for transmitting steam to and from any of the foregoing; or
 - iii. steam pipes used for heating buildings;

provided that the loss caused by the internal pressure of steam in processing vessels (other than waste heat recovery steam generators) processing machinery or processing apparatus or in tanks or in piping pertaining to any of the foregoing is excluded from the coverage provided by this Extension Endorsement.

It is further agreed, however, that the rupture or bursting of rotating or moving parts of machinery caused by centrifugal force or mechanical breakdown shall not be regarded as explosion within the intent of this exclusion.
- D. In respect of any Object, the Underwriters shall not be liable for loss or expense resulting from an Accident to such Object occurring prior to the time such Object has been completely:
 - i. installed,
 - ii. tested, and,
 - iii. accepted by or is at risk of the Insured.
- E. The Insurers shall not be liable under this Extension Endorsement for any loss or expense resulting from loss of or damage to any absorbent material contained within any process vessel or to any catalyst or catalyst container or the contents of any tank, vessel or apparatus, unless such loss or expense is due solely to explosion as provided for under this Extension Endorsement.

3. **Additional coverages under this Extension Endorsement**

A. **Ammonia Contamination**

This Policy covers:

- i. physical loss or damage to Property Insured at an Insured Location, caused by ammonia contacting or permeating such Property Insured as the result of an Accident to an Object covered by this Extension Endorsement, and
- ii. costs incurred to remove such contaminated Property Insured from the Insured Location.

This Additional Coverage does not cover physical loss or damage or costs recoverable elsewhere in the Policy.

The Insurers shall not be liable under this Additional Coverage for more than a sub-limit of USD 50,000 in respect of any one Accident, which shall be part of and not in addition to the Policy Limit of Liability.

B. **Water Damage**

This Policy covers:

- i. water damage to Property Insured at an Insured Location directly resulting from an Accident to an Object covered by this Extension Endorsement, and
- ii. costs incurred to remove such damaged Property Insured from the Insured Location.

This Additional Coverage does not cover damage or costs recoverable elsewhere in the Policy.

The Insurers shall not be liable under this Additional Coverage for more than a sub-limit of USD 250,000 in respect of any one Accident, which shall be part of and not in addition to the Policy Limit of Liability.

C. **Demolition and Increased Cost of Construction**

- i. This Policy covers the reasonable and necessary costs incurred, described in item ii. below, to satisfy the minimum requirements of the enforcement of any law or ordinance regulating the demolition, repair or replacement of an Object which has sustained direct physical loss or damage by an Accident covered by this Extension Endorsement, provided:
 - a. such law or ordinance is in force on the date of insured direct physical loss or damage; and
 - b. its enforcement is a direct result of such insured direct physical loss or damage.

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- ii. This Additional Coverage covers:
 - a. the cost to demolish the Object (including any physically undamaged portion of such Object) and to remove debris of the Object from an Insured Location, to the extent that such costs incurred result when the demolition is required to satisfy the law or ordinance.
 - b. the increased cost to repair or replace the physically damaged Object at the same Location with property of such kind, capacity, size, quality and function required to satisfy the minimum requirements of such law or ordinance.
- iii. This Additional Coverage does not cover loss due to any law or ordinance with which the Insured was required to comply had the loss not occurred.
- iv. The Insurers shall not be liable under this Additional Coverage for more than a sub-limit of USD 1,000,000 in respect of any one Accident, which shall be part of and not in addition to the Policy Limit of Liability.

D. Spoilage

This Policy covers spoilage of Property Insured at an Insured Location caused by a change of temperature or humidity or interruption of power, heat, air-conditioning or refrigeration resulting from an Accident to an Object covered by this Extension Endorsement.

The Insurers shall not be liable under this Additional Coverage for more than a sub-limit of USD 50,000 in respect of any one Accident, which shall be part of and not in addition to the Policy Limit of Liability.

E. Expediting Costs

This Policy covers the reasonable and necessary costs incurred to pay for the temporary repair of an Object which has sustained direct physical loss or damage by an Accident covered by this Extension Endorsement and to expedite the permanent repair or replacement of such damaged Object.

This Additional Coverage does not cover costs:

- (1) recoverable elsewhere in this Policy; or
- (2) of permanent repair or replacement of the Object which has sustained such direct physical loss or damage.

The Insurers shall not be liable under this Additional Coverage for more than a sub-limit of USD 50,000 in respect of any one Accident, which shall be part of and not in addition to the Policy Limit of Liability.

F. Hazardous Substances

If an Accident to an Object at an Insured Location covered by this Extension Endorsement results in the actual Contamination of any Property Insured at the same location and there is in force at the time of such Accident any law or ordinance regulating such Contamination, then this Policy covers, as a direct result of enforcement of such law or ordinance, the increased cost of decontamination and/or removal of such contaminated Property Insured in a manner to satisfy such law or ordinance. This Additional Coverage applies only to that part of Property Insured so contaminated as a direct result of the Accident.

The Insurers are not liable for the costs required for removing contaminated uninsured property nor the Contaminant therein or thereon, whether or not the Contamination results from an insured Accident.

The Insurers shall not be liable under this Additional Coverage for more than a sub-limit of USD 50,000 in respect of any one Accident, which shall be part of and not in addition to the Policy Limit of Liability.

Based on LMA5160 Boiler and Machinery Extension

All other terms, conditions, definitions and exclusions of the Policy remain unchanged.

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U.S. TERRORISM RISK INSURANCE ACT OF 2002 AS AMENDED NOT PURCHASED CLAUSE

This Clause is issued in accordance with the terms and conditions of the "U.S. Terrorism Risk Insurance Act of 2002" as amended as summarized in the disclosure notice.

It is hereby noted that the Underwriters have made available coverage for "insured losses" directly resulting from an "act of terrorism" as defined in the "U.S. Terrorism Risk Insurance Act of 2002", as amended ("TRIA") and the Insured has declined or not confirmed to purchase this coverage.

This Insurance therefore affords no coverage for losses directly resulting from any "act of terrorism" as defined in TRIA except to the extent, if any, otherwise provided by this policy.

All other terms, conditions, insured coverage and exclusions of this Insurance including applicable limits and deductibles remain unchanged and apply in full force and effect to the coverage provided by this Insurance.

LMA5390
09 January 2020

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TERRITORIAL EXCLUSION: RUSSIA, UKRAINE AND BELARUS

Notwithstanding anything to the contrary in this Policy, this Policy excludes any loss, damage, liability, cost or expense of whatsoever nature, directly or indirectly arising from or in respect of any:

- i. entity domiciled, resident, located, incorporated, registered or established in an **Excluded Territory**;
- ii. property or asset located in an **Excluded Territory**;
- iii. individual that is physically in an **Excluded Territory**;
- iv. claim, action, suit or enforcement proceeding brought or maintained in an **Excluded Territory**;
- v. payment in an **Excluded Territory**.

This exclusion will not apply to any coverage or benefit required to be provided by the insurer by law or regulation applicable to that insurer, however, the terms of any sanctions clause will prevail.

For purposes of this exclusion, "**Excluded Territory**" means:

- Belarus (Republic of Belarus); and
- Russian Federation; and
- Ukraine (including any disputed regions of Ukraine and including the Crimean Peninsula)

All other terms, conditions and exclusions remain unchanged.

LMA5583B
8 March 2023

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In respect of Notices – delete as applicable

MASSACHUSETTS SURPLUS LINES NOTICE

This policy is insured by a company which is not admitted to transact insurance in the commonwealth, is not supervised by the commissioner of insurance and, in the event of an insolvency of such company, a loss shall not be paid by the Massachusetts Insurers Insolvency Fund under chapter 175D.

LMA9054
01 September 2013

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CALIFORNIA SURPLUS LINES NOTICE 1 (POST BIND)

IMPORTANT NOTICE

1. The insurance policy that you have purchased is being issued by an insurer that is not licensed by the State of California. These companies are called “nonadmitted” or “surplus line” insurers.
2. The insurer is not subject to the financial solvency regulation and enforcement that apply to California licensed insurers.
3. The insurer does not participate in any of the insurance guarantee funds created by California law. Therefore, these funds will not pay your claims or protect your assets if the insurer becomes insolvent and is unable to make payments as promised.
4. The insurer should be licensed either as a foreign insurer in another state in the United States or as a non-United States (alien) insurer. You should ask questions of your insurance agent, broker, or “surplus line” broker or contact the California Department of Insurance at the toll-free number 1-800-927-4357 or internet website www.insurance.ca.gov. Ask whether or not the insurer is licensed as a foreign or non-United States (alien) insurer and for additional information about the insurer. You may also visit the NAIC’s internet website at www.naic.org. The NAIC - the National Association of Insurance Commissioners - is the regulatory support organization created and

governed by the chief insurance regulators in the United States.

5. Foreign insurers should be licensed by a state in the United States and you may contact that state's department of insurance to obtain more information about that insurer. You can find a link to each state from the NAIC internet website: https://naic.org/state_web_map.htm.

6. For non-United States (alien) insurers, the insurer should be licensed by a country outside of the United States and should be on the NAIC's International Insurers Department (IID) listing of approved nonadmitted non-United States insurers. Ask your agent, broker, or "surplus line" broker to obtain more information about that insurer.

7. California maintains a "List of Approved Surplus Line Insurers (LASLI)." Ask your agent or broker if the insurer is on that list, or view that list at the internet website of the California Department of Insurance: www.insurance.ca.gov/01-consumers/120-company/07-lasli/lasli.cfm.

8. If you, as the applicant, required that the insurance policy you have purchased be effective immediately, either because existing coverage was going to lapse within two business days or because you were required to have coverage within two business days, and you did not receive this disclosure form and a request for your signature until after coverage became effective, you have the right to cancel this policy within five days of receiving this disclosure. If you cancel coverage, the premium will be prorated and any broker's fee charged for this insurance will be returned to you.

D-2 (Effective January 1, 2020)

LMA9098B
10 December 2019

CALIFORNIA SURPLUS DISCLOSURE STATEMENT (PRE BIND)

IMPORTANT NOTICE

1. The insurance policy that you are applying to purchase is being issued by an insurer that is not licensed by the State of California. These companies are called “nonadmitted” or “surplus line” insurers.
2. The insurer is not subject to the financial solvency regulation and enforcement that apply to California licensed insurers.
3. The insurer does not participate in any of the insurance guarantee funds created by California law. Therefore, these funds will not pay your claims or protect your assets if the insurer becomes insolvent and is unable to make payments as promised.
4. The insurer should be licensed either as a foreign insurer in another state in the United States or as a non-United States (alien) insurer. You should ask questions of your insurance agent, broker, or “surplus line” broker or contact the California Department of Insurance at the toll-free number 1-800-927-4357 or internet website www.insurance.ca.gov. Ask whether or not the insurer is licensed as a foreign or non-United States (alien) insurer and for additional information about the insurer. You may also visit the NAIC’s internet website at www.naic.org. The NAIC - the National Association of Insurance Commissioners

- is the regulatory support organization created and governed by the chief insurance regulators in the United States.

5. Foreign insurers should be licensed by a state in the United States and you may contact that state's department of insurance to obtain more information about that insurer. You can find a link to each state from the NAIC internet website: https://naic.org/state_web_map.htm.

6. For non-United States (alien) insurers, the insurer should be licensed by a country outside of the United States and should be on the NAIC's International Insurers Department (IID) listing of approved nonadmitted non-United States insurers. Ask your agent, broker, or "surplus line" broker to obtain more information about that insurer.

7. California maintains a "List of Approved Surplus Line Insurers (LASLI)." Ask your agent or broker if the insurer is on that list, or view that list at the internet website of the California Department of Insurance: www.insurance.ca.gov/01-consumers/120-company/07-lasli/lasli.cfm.

8. If you, as the applicant, required that the insurance policy you have purchased be effective immediately, either because existing coverage was going to lapse within two business days or because you were required to have coverage within two business days, and you did not receive this disclosure form and a request for your signature until after coverage became effective, you have the right to cancel this policy within five days of receiving this disclosure. If you cancel coverage, the premium will be prorated and any broker's fee charged for this insurance will be returned to you.

Date: _____

Insured: _____

D-1 (Effective January 1, 2020)

LMA9099B

10 December 2019

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CALIFORNIA SURPLUS LINES NOTICE 2

This insurance is issued pursuant to the California Insurance Code, Sections 1760 through 1780, and is placed in an insurer or insurers not holding a Certificate of Authority from or regulated by the California Insurance Commissioner.

LMA9030
01 September 2013

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CALIFORNIA COMPLAINTS NOTICE

To request assistance or make an initial complaint, you should contact {name of local broker that issued the policy, coverholder/MGA and/or managing agent} at:

{Broker/coverholder's address and customer service phone number}

{Managing agent contact information may also be listed but we suggest that this is only provided if US contact information is available}

In the alternative, you may wish to contact the Lloyd's Complaints Department at:

Lloyd's Complaints Department

c/o Lloyd's America Inc.

280 Park Avenue,

East Tower, 25th Floor,

New York, NY 10017,

Phone: 1-844-849-7828

Email: complaints@lloyds.com

USA

The California Department of Insurance should be contacted only after discussions with the insurer, its agent, or representative, have failed to produce a satisfactory resolution. You may contact the California Department of Insurance to obtain information on your rights or make a complaint at:

Consumer Hotline

1-800-927-4357 (HELP)

TDD Number

1-800-482-4833 (TTY)

California Department of Insurance

Consumer Services Division

300 South Spring Street, South Tower

Los Angeles, CA 90013

LMA9136B

28 September 2023

FLORIDA SURPLUS LINES NOTICE (GUARANTY ACT)

THIS INSURANCE IS ISSUED PURSUANT TO THE FLORIDA SURPLUS LINES LAW. PERSONS INSURED BY SURPLUS LINES CARRIERS DO NOT HAVE THE PROTECTION OF THE FLORIDA INSURANCE GUARANTY ACT TO THE EXTENT OF ANY RIGHT OF RECOVERY FOR THE OBLIGATION OF AN INSOLVENT UNLICENSED INSURER.

LMA9037

01 September 2013

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FLORIDA SURPLUS LINES NOTICE (RATES AND FORMS)

**SURPLUS LINES INSURERS' POLICY RATES AND FORMS ARE NOT APPROVED
BY ANY FLORIDA REGULATORY AGENCY.**

LMA9038
01 September 2013

TEXAS SURPLUS LINES NOTICE

This insurance contract is with an insurer not licensed to transact insurance in this state and is issued and delivered as surplus line coverage under the Texas insurance statutes. The Texas Department of Insurance does not audit the finances or review the solvency of the surplus lines insurer providing this coverage, and the insurer is not a member of the property and casualty insurance guaranty association created under Chapter 462, Insurance Code. Chapter 225, Insurance Code, requires payment of a (insert appropriate tax rate) percent tax on gross premium.

LMA9079
01 September 2013

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Texas Complaints Notice

Have a complaint or need help?

If you have a problem with a claim or your premium, call your insurance company or HMO first. If you can't work out the issue, the Texas Department of Insurance may be able to help.

Even if you file a complaint with the Texas Department of Insurance, you should also file a complaint or appeal through your insurance company or HMO. If you don't, you may lose your right to appeal.

{Response - Insert insurance company or HMO⁰ name}

To get information or file a complaint with your insurance company or HMO:

Call: **{Response - insert title}** at **{Response - insert phone number}**⁰

Toll-free: **{Response - insert phone number}**⁰

[Optional] Online: **{Response - insert company URL}**⁰

Email: **{Response - insert email address}**

Mail: **{Response - insert mailing address}**

The Texas Department of Insurance

To get help with an insurance question or file a complaint with the state:

Call with a question: 1-800-252-3439

File a complaint: www.tdi.texas.gov

Email: ConsumerProtection@tdi.texas.gov

Mail: Consumer Protection, MC: CO-CP, Texas Department of Insurance, PO Box 12030, Austin, TX 78711-2030

LMA9080E

16 June 2023

⁰ Health Maintenance Organization

⁰ The insuring company may choose to list the agent, agency or MGA and their phone number instead. If provided, this information must be below the required insuring company paragraph and above the Texas Department of Insurance paragraph.

⁰ The number is not required to be toll-free for surplus lines insurers.

⁰ URL of the insuring company is an optional field.

NORTH CAROLINA DISCLOSURE NOTICE CLAUSE

"WARNING: THIS PROPERTY INSURANCE POLICY DOES NOT PROTECT YOU AGAINST LOSSES FROM [FLOODS], [EARTHQUAKES], [MUDSLIDES], [MUDFLOWS], [LANDSLIDES] [WINDSTORM OR HAIL]*. YOU SHOULD CONTACT YOUR INSURANCE COMPANY OR AGENT TO DISCUSS YOUR OPTIONS FOR OBTAINING COVERAGE FOR THESE LOSSES. THIS IS NOT A COMPLETE LISTING OF ALL OF THE CAUSES OF LOSSES NOT COVERED UNDER YOUR POLICY. YOU SHOULD READ YOUR ENTIRE POLICY TO UNDERSTAND WHAT IS COVERED AND WHAT IS NOT COVERED."

20 February 2018

LMA9144

** delete as applicable*

SERVICE OF SUIT CLAUSE (U.S.A.)

It is agreed that in the event of the failure of the Underwriters hereon to pay any amount claimed to be due hereunder, the Underwriters hereon, at the request of the (Re)insured, will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of Underwriters' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States.

It is further agreed that service of process in such suit may be made upon:

In respect of Lloyd's Insurers:

Lloyd's America, Inc.
Attention: Legal Department
280 Park Avenue, East Tower, 25th Floor,
New York, NY 100177

In respect of Non-Lloyd's Insurers:

Mendes and Mount,
750, Seventh Avenue
New York, NY 10019

and that in any suit instituted against any one of them upon this contract, Underwriters will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

The above-named are authorized and directed to accept service of process on behalf of Underwriters in any such suit and/or upon the request of the (Re)insured.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, Underwriters hereon hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Insured (or Reinsured) or any beneficiary hereunder arising out of this contract of insurance (or reinsurance), and hereby designate the above-named as the person to whom the said officer is authorized to mail such process or a true copy thereof.

NMA1998A
07/04/2025

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Information Section

Principal Business Activity:

Total Insurable Values (100%):

USD

All information provided to Insurers as held on file by Miller Insurance Services LLP

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Security Details Section:

(Re)insurer's
Liability:

(RE)INSURERS LIABILITY CLAUSE

(Re)insurer's liability several not joint

The liability of a (re)insurer under this contract is several and not joint with other (re)insurers party to this contract. A (re)insurer is liable only for the proportion of liability it has underwritten. A (re)insurer is not jointly liable for the proportion of liability underwritten by any other (re)insurer. Nor is a (re)insurer otherwise responsible for any liability of any other (re)insurer that may underwrite this contract.

The proportion of liability under this contract underwritten by a (re)insurer (or, in the case of a Lloyd's syndicate, the total of the proportions underwritten by all the members of the syndicate taken together) is shown next to its stamp. This is subject always to the provision concerning "signing" below.

In the case of a Lloyd's syndicate, each member of the syndicate (rather than the syndicate itself) is a (re)insurer. Each member has underwritten a proportion of the total shown for the syndicate (that total itself being the total of the proportions underwritten by all the members of the syndicate taken together). The liability of each member of the syndicate is several and not joint with other members. A member is liable only for that member's proportion. A member is not jointly liable for any other member's proportion. Nor is any member otherwise responsible for any liability of any other (re)insurer that may underwrite this contract. The business address of each member is Lloyd's, One Lime Street, London EC3M 7HA. The identity of each member of a Lloyd's syndicate and their respective proportion may be obtained by writing to Market Services, Lloyd's, at the above address.

Proportion of liability

Unless there is "signing" (see below), the proportion of liability under this contract underwritten by each (re)insurer (or, in the case of a Lloyd's syndicate, the total of the proportions underwritten by all the members of the syndicate taken together) is shown next to its stamp and is referred to as its "written line".

Where this contract permits, written lines, or certain written lines, may be adjusted ("signed"). In that case a schedule is to be appended to this contract to show the definitive proportion of liability under this contract underwritten by each (re)insurer (or, in the case of a Lloyd's syndicate, the total of the proportions underwritten by all the members of the syndicate taken together). A definitive proportion (or, in the case of a Lloyd's syndicate, the total of the proportions underwritten by all the members of a Lloyd's syndicate taken together) is referred to as a "signed line". The signed lines shown in the schedule will prevail over the written lines unless a proven error in calculation has occurred.

Although reference is made at various points in this clause to "this contract" in the singular, where the circumstances so require this should be read as a reference to contracts in the plural.

LMA3333
21 June 2007

Order Hereon: 100% of 100%

Order Hereon can be updated by Endorsement without further agreement of Insurers being required.

**Basis of
Written Lines:** Percentage of whole.

**Basis of
Signed Lines:** Percentage of whole.

Signing Provisions: In the event that the written lines hereon exceed 100% of the order, any lines written "To Stand" will be allocated in full and all other lines will be signed down in equal proportions so that the aggregate signed lines are equal to 100% of the order without further agreement of any of the (re)insurers.

However:

- a) in the event that the placement of the order is not completed by the commencement date of the period of insurance then all lines written by that date will be signed in full;
- b) the (re)insured and/or Miller Insurance Services LLP may elect for the disproportionate signing of (re)insurers' lines, without further specific agreement of (re)insurers, providing that any such variation is made prior to the commencement date of the period of reinsurance, and that lines written "To Stand" may not be varied without the documented agreement of those Reinsurers;
- c) the signed lines resulting from the application of the above provisions can be varied, before the commencement date of the period of reinsurance by Miller Insurance Services LLP, or after the commencement date by the documented agreement of the Reinsured and all Reinsurers whose lines are to be varied. Post commencement date variation to the contracts will take effect only when all such Reinsurers have agreed, with the resulting variation in signed lines commencing from the date set out in that agreement.

Mode of Execution: This contract and any changes to it may be executed by:

- a. electronic signature technology employing computer software and a digital signature or digitiser pen pad to capture a person's handwritten signature in such a manner that the signature is unique to the person signing, is under the sole control of the person signing, is capable of verification to authenticate the signature and is linked to the document signed in such a manner that if the data is changed, such signature is invalidated;
- b. a unique authorisation provided via a secure electronic trading platform;
- c. a timed and dated authorisation provided via an electronic message/system;
- d. an exchange of facsimile/scanned copies showing the original written ink signature of paper documents;
- e. an original written ink signature of paper documents (or a true representation of a signature, such as a rubber stamp);

The use of any one or a combination of these methods of execution shall constitute a legally binding and valid signing of this contract. This contract may be executed in one or more of the above counterparts, each of which, when duly executed, shall be deemed an original.

Line Conditions

None, unless otherwise stated hereunder.

Any reference to Notice of Cancellation at Anniversary Date (NCAD) contained within or Under a Stamp is deemed void unless restated by Reinsurers under this Line Conditions heading.

Market Reform Contract <i>Initials / Date</i>	L/UWR
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